www.igbreit.com

IGB REIT MANAGEMENT SDN BHD (908168-A)
Level 32, The Gardens South Tower,
Mid Valley City, Lingkaran Syed Putra,
59200 Kuala Lumpur, Malaysia.
Tel: (603) 2289 8989   Fax: (603) 2289 8802

IGB Real Estate Investment Trust

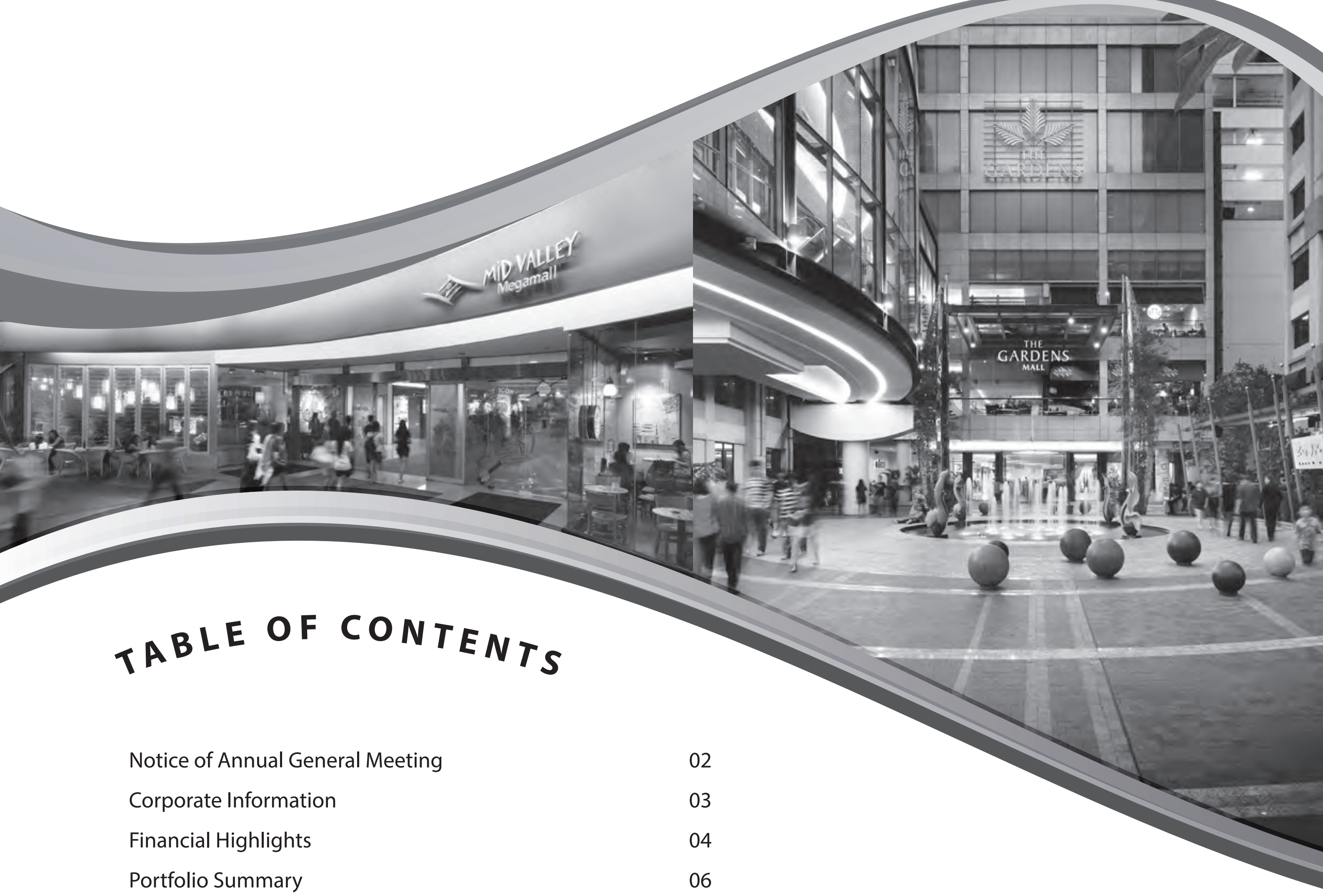
Annuaal Report 2013

IGB REIT
IGB REAL ESTATE INVESTMENT TRUST

Annual Report
2013

IGB REIT

IGB REAL ESTATE INVESTMENT TRUST



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Notice of Annual General Meeting

NOTICE IS HEREBY GIVEN THAT the Second Annual General Meeting ("2nd AGM") of the unitholders of IGB Real Estate Investment Trust ("IGB REIT") will be held at Bintang Ballroom, Level 5, Cititel Mid Valley, Mid Valley City, Lingkaran Syed Putra, 59200 Kuala Lumpur, Malaysia on Wednesday, 30 April 2014 at 2.30 p.m. for the following purpose:

Ordinary Business

To receive the Financial Statements of IGB REIT for the year ended 31 December 2013 together with the reports issued by the Trustee, the Manager and the Auditors.

By Order of the Board
IGB REIT MANAGEMENT SDN BHD (908168-A)
as Manager of IGB REIT

Tina Chan
Company Secretary

Kuala Lumpur
28 February 2014

Notes:

(1) Appointment of proxy

(a) A unitholder is entitled to appoint one or two proxies and they need not be unitholders.

(b) A unitholder, who is an authorised nominee, may appoint up to two proxies in respect of each Securities Account held; whereas, an exempt authorised nominee may appoint multiple proxies in respect of each Securities Account held.

(c) A member who appoints a proxy must execute the Proxy Form, and if two proxies are appointed, the number of units to be represented by each proxy must be clearly indicated.

(d) A corporate member who appoints a proxy must execute the Proxy Form under seal or the hand of its officer or attorney duly authorised.

(e) Only unitholders registered in the Record of Depositors as at 23 April 2014 shall be eligible to attend, speak and vote at the 2nd AGM or appoint a proxy to attend and vote on his behalf.

(f) The executed Proxy Form must be deposited at the Registered Office, not later than 2.30 p.m. on 28 April 2014, being 48 hours before the time set for the 2nd AGM.

(g) The IGB REIT Annual Report and Proxy Form can be accessed at www.igbreit.com

(2) Registration of unitholders/proxies

(a) Registration will start at 12.30 p.m. on the day of the 2nd AGM.

(b) Unitholders/proxies are required to produce identification documents for registration, and parking tickets for endorsement (only applicable for parking at Mid Valley Megamall and The Gardens Mall; no reimburse parking charges at Cititel Mid Valley).

(c) You will be given wrist tags. No persons will be allowed to enter the meeting room without the wrist tags. There will be no replacement in the event that you lose or misplace the tags.

(d) If you have any question, please proceed to the Help Desk Counter.

(3) Enquiries

If you have any enquiries prior to the 2nd AGM, please contact the following persons during office hours on Mondays to Fridays:

(a) Unitholders' enquiries: Tina Chan, Head of Compliance/Company Secretary - 603-22898820/corporate_enquiry@igbreit.com
(b) Investor relations: Terence Yeoh, IGB Senior General Manager (Corporate and Legal Affairs)/Chow Yeng Keet, Head of Investment - 603-22898886/8689/ investorrelations@igbreit.com
(c) CD-ROM assistance: Ching Kar Heng, IGB Senior IT Manager/Chai Voon Chung, IGB Senior IT Executive - 603-22898910/8884

Corporate Information

MANAGER

IGB REIT Management Sdn Bhd (908168-A)
Level 32, The Gardens South Tower
Mid Valley City, Lingkaran Syed Putra
59200 Kuala Lumpur, Malaysia
Telephone : 603 - 2289 8989
Telefax : 603 - 2289 8802
Website : www.igbreit.com

BOARD OF DIRECTORS

Tan Sri Dato' Dr. Lin See Yan
Chairman and Independent Non-Executive Director

Dato' Seri Robert Tan Chung Meng
Managing Director and Non-Independent Executive Director

Halim bin Haji Din
Independent Non-Executive Director

Le Ching Tai @ Lee Chen Chong
Independent Non-Executive Director

Tan Boon Lee
Non-Independent Executive Director

Daniel Yong Chen-I
Non-Independent Executive Director

Elizabeth Tan Hui Ning
Non-Independent Executive Director

Tan Lei Cheng
Non-Independent Non-Executive Director

Tan Yee Seng
Non-Independent Non-Executive Director

CHIEF EXECUTIVE OFFICER

Antony Patrick Barragry

COMPANY SECRETARY

Tina Chan Lai Yin

TRUSTEE

AmTrustee Berhad (163032-V)
Level 22, Bangunan AmBank Group
55 Jalan Raja Chulan
50200 Kuala Lumpur, Malaysia
Telephone : 603 - 2036 2633
Telefax : 603 - 2032 1914

PROPERTY MANAGER

Chartwell ITAC International Sdn Bhd (52312-H)
Suite A-6-3, Level 6, Block A
Putra Majestik, Jalan Kasipillay
Batu 2½, Off Jalan Ipoh
51200 Kuala Lumpur, Malaysia
Telephone : 603 - 4043 3998
Telefax : 603 - 4043 9388

AUDITORS

PricewaterhouseCoopers (AF 1146)
Level 10, 1 Sentral, Jalan Travers
Kuala Lumpur Sentral
50706 Kuala Lumpur, Malaysia
Telephone : 603 - 2173 1188
Telefax : 603 - 2173 1288

REGISTRAR

Tricor Investor Services Sdn Bhd (118401-V)
Level 17, The Gardens North Tower
Mid Valley City, Lingkaran Syed Putra
59200 Kuala Lumpur, Malaysia
Telephone : 603 - 2264 3883
Telefax : 603 - 2282 1886

PRINCIPAL BANKERS

Hong Leong Bank Berhad (97141-X)
Level 5, Wisma Hong Leong
18 Jalan Perak
50450 Kuala Lumpur, Malaysia
Telephone : 603 - 2164 2828
Telefax : 603 - 2164 2503

Public Bank Berhad (6463-H)
Head Office, Menara Public Bank
146 Jalan Ampang
50450 Kuala Lumpur, Malaysia
Telephone : 603 - 2176 6000
Telefax : 603 - 2163 9917

STOCK EXCHANGE LISTING

Main Market of Bursa Malaysia Securities Berhad
Stock Name : IGBREIT
Stock Code : 5227

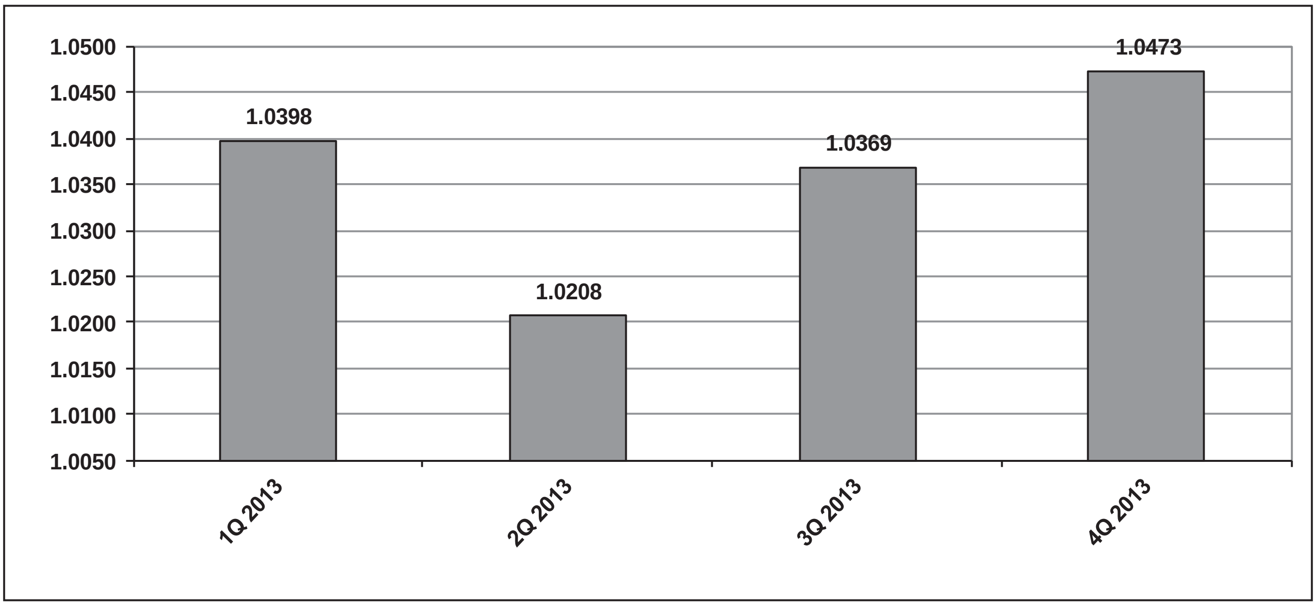
Financial Highlights

Statement of Comprehensive Income	FY 2013 RM'000	Forecast 2013 RM'000	FP 2012* RM'000	Forecast 2012* RM'000
Gross Revenue	**430,726**	**408,103**	115,285	110,718
Net Property Income	**285,727**	**276,592**	76,174	74,084
Distributable Income	**241,110**	**230,476**	62,333	60,866
Earnings per Unit (realised) ("EPU") (sen)	**6.06**	**5.75**	1.56	1.51
Core EPU (sen)	**9.13**	**5.75**	4.50	1.51
Distribution per Unit ("DPU") (sen)	**7.04**	**6.71**	1.83	1.79
Annualised DPU (sen)	**7.04**	**6.71**	6.50	6.36
Annualised Distribution Yield (%)	**5.92**	**-**	4.89	-

Notes:
** From 20 September 2012 to 31 December 2012*
FY Financial year ended 31 December
FP Financial period ended 31 December

Statement of Financial Position	As at 31.12.2013	As at 31.12.2012
Investment Properties (RM'000)	**4,805,000**	4,700,000
Total Asset Value (RM'000)	**5,059,489**	4,892,134
Total Liabilities (RM'000)	**1,475,149**	1,408,090
Net Asset Value ("NAV") (RM'000)	**3,584,340**	3,484,044
NAV per Unit (RM)	**1.0473**	1.0247

NAV PER UNIT PERFORMANCE (RM)

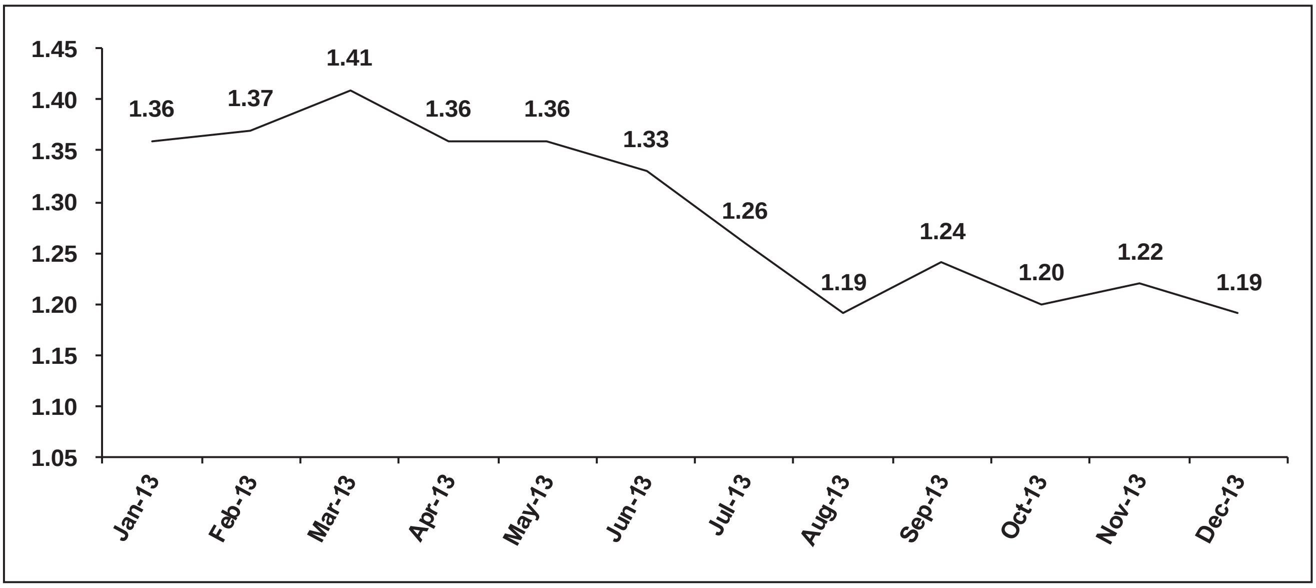


Notes:
1Q 1st Quarter
2Q 2nd Quarter
3Q 3rd Quarter
4Q 4th Quarter

Financial Highlights
(continued)

UNIT PRICE PERFORMANCE

Month End Closing Price (RM)



Trading performance	FY 2013	FP 2012
Closing price as at 31 December (RM)	**1.19**	1.33
Highest traded price during the financial year (RM)	**1.45**	1.44
Lowest traded price during the financial year (RM)	**1.13**	1.31
Units in circulation ('000)	**3,422,620**	3,400,000
Market capitalisation as at 31 December (RM'000)	**4,072,918**	4,522,000

Portfolio Summary

PORTFOLIO COMPOSITION

	Properties	
	Mid Valley Megamall	**The Gardens Mall**
Land area of master title (sq ft)	1,047,532	421,773
Tenure	Leasehold interest of 99 years expiring on 6 June 2103	Leasehold interest of 99 years expiring on 6 June 2103
Master title information	PN 37075, Lot 80 Seksyen 95A, Bandar Kuala Lumpur, Daerah Kuala Lumpur, Wilayah Persekutuan Kuala Lumpur	PN 37073, Lot 70 Seksyen 95A, Bandar Kuala Lumpur, Daerah Kuala Lumpur, Wilayah Persekutuan Kuala Lumpur
Encumbrances/material limitations in master title [1]	Trust caveat lodged by AmTrustee Berhad on behalf of IGB REIT vide presentation No. 15448/2012 on 14 September 2012	• Private caveat lodged by AmTrustee Berhad on behalf of IGB REIT vide presentation No. 12690/2012 on 26 July 2012 • Trust caveat lodged by AmTrustee Berhad on behalf of IGB REIT vide presentation No. 14472/2012 on 30 August 2012 • Trust caveat lodged by AmTrustee Berhad on behalf of IGB REIT vide presentation No. 16049/2012 on 26 September 2012
Restrictions in interest in master title	This land shall not be transferred, leased, secured or charged except with the consent of the Federal Territory Land Executive Committee Secretariat (Tanah ini tidak boleh dipindahmilik, dipajak, dicagar atau digadai melainkan dengan kebenaran Jawatankuasa Kerja Tanah Wilayah Persekutuan Kuala Lumpur) [1]	This land shall not be transferred, leased, secured or charged except with the consent of the Federal Territory Land Executive Committee Secretariat (Tanah ini tidak boleh dipindahmilik, dipajak, dicagar atau digadai melainkan dengan kebenaran Jawatankuasa Kerja Tanah Wilayah Persekutuan Kuala Lumpur) [2]
Express conditions in master title	This land shall be used for commercial building only (Tanah ini hendaklah hanya untuk bangunan perdagangan sahaja)	This land shall be used for commercial building only (Tanah ini hendaklah hanya untuk bangunan perdagangan sahaja)
Type	Retail	Retail
Appraised Value as at 31 December 2013 (RM'000)	3,560,000	1,245,000
Purchase consideration (RM'000)	3,440,000	1,160,000
NLA as at 31 December 2013 (sq ft)	1,749,444	823,169
GFA as at 31 December 2013 (sq ft)	6,107,103	3,379,510
Number of tenancies as at 31 December 2013	467	233
Occupancy rate as at 31 December 2013 (%)	99.9	98.8
Number of car park bays as at 31 December 2013	6,092	4,128

(1) *Mid Valley City Sdn Bhd had on 15 August 2012 obtained the State Authority's consent for the transfer of Mid Valley Megamall in favour of AmTrustee Berhad.*

(2) *Mid Valley City Developments Sdn Bhd had on 16 March 2012 obtained the State Authority's consent for the transfer of The Gardens Mall in favour of Mid Valley City Gardens Sdn Bhd ("MVCG"), and MVCG had in turn on 15 August 2012, obtained the State Authority's consent for the transfer of The Gardens Mall in favour of AmTrustee Berhad.*

Message from the Chairman and the Managing Director

POISED FOR GREATNESS

Despite lingering concerns over financial risk in 2013, the global economy saw some recovery, which was reflected in lively domestic and international REITs. Malaysia was also somewhat affected with some bearish sentiment among consumers due to rising household debt and the general election but domestic demand continued to be strong. Private consumption was supported by income growth and stable employment conditions, resulting in positive projections for the retail sector.

After IGB REIT officially listed on the Main Market of Bursa Malaysia Securities Berhad in September 2012, we have implemented strategies such as asset enhancement initiatives in our focus on maintaining an appropriate capital structure by providing unitholders with regular and stable distributions, sustainable long-term unit prices, as well as capital growth.

FINANCIAL PERFORMANCE

This is IGB REIT's first full year for financial reporting. IGB REIT posted a revenue of RM430.7 million and net property income of RM285.7 million with profit before tax of RM311.9 million for the financial year ended 31 December 2013 ("FY2013"). These were mainly from the rental income of Mid Valley Megamall ("MVM") and The Gardens Mall ("TGM"). IGB REIT's full year financial results reflect the steps being taken to ensure that we can deliver sustainable returns and long-term growth for unitholders.

DISTRIBUTION TO UNITHOLDERS

IGB REIT's distributable income for FY2013 totalled about RM241.1 million or 7.04 sen per unit for the year of which 3.43 sen per unit @ 3.37 sen taxable and 0.06 sen non-taxable for the first half of 2013, and 3.61 sen per unit @ 3.52 sen taxable and 0.09 sen non-taxable for the second half of 2013.

OPERATIONS REVIEW

The net asset value ("NAV") of IGB REIT as at 31 December 2013 after income distribution was approximately RM3.58 billion. The net book value of MVM increased from RM3.50 billion to RM3.56 billion, whereas TGM went up to RM1.245 billion from previous RM1.20 billion, as at 31 December 2013.

The increase of IGB REIT's NAV came mainly from organic growth and return on asset enhancement initiatives.

MVM

MVM remains a key shopping destination in the Klang Valley retail landscape. The mall continues to enjoy full occupancy with 173 renewals and 43 new tenants registered in 2013. New tenants included Blackmores, Cath Kidston, Morgan de Toi, Renoma Paris and Superdry.

The reconfigurations of the junior anchor spaces at the Ground Floor (MPH Bookstores) and the Third Floor (Food Junction) which were completed in the second half of 2012 contributed positively in 2013.

Work commenced on the upgrading of the mall water reticulation system, CCTV and external facades. In addition, 12 lift and escalator lobbies, as well as two Ground Floor entrances were renovated.

TGM

2013 was a pivotal year for TGM as it was the second 3-year cycle when 70% of tenancies was due for expiry. TGM underwent a repositioning exercise to upgrade and strengthen its tenancy mix which saw the reshuffling of tenants and the entry of 25 new brands which included Hermes, Gucci, Michael Kors, Neal's Yard Remedies, and LeBunny Bleu. Big brands such as Coach, Hugo Boss, and Samsung also opened their latest concept stores at TGM.

TGM underwent several asset enhancement initiatives in 2013, including the creation of a lounge area at the Riverview entrance, the reconfiguration of the Rak Thai lot to create more variety for customers, and upgrading the East Entrance. We also created additional lettable area and parking space on the lower ground floor.

The Gardens Club has garnered a strong database of shoppers with over 40,000 names and plans are in place to upgrade the club and its facilities. There are also plans to launch a new VVIP programme in 2014 to further reward customers.

Message from the Chairman and the Managing Director
(continued)

CREATING LASTING IMPRESSIONS IN THE REGION

In 2013, TGM demonstrated that it is not only a shopping destination of choice for the Malaysian public, but also has great international appeal as it claimed the *Best Shopping Experience: Excellence Award 2013 from Expatriate Lifestyle*. This marked the second year in a row that TGM had received this accolade. Continuing with the international theme, TGM is also a submitted entry for the Malaysia Tourist Award 2013.

PROSPECTS

The main challenges in the coming year are likely to be the rise in the property assessment and a significant increase in electricity tariff.

We are cognizant of the potential impact of these increases, and will continue to work to bring in new tenants by emphasising our asset enhancement initiatives. While there will be some adjustment of services and promotion fees to cover increased operating costs, we hope that we will be able to offset these via organic revenue growth.

The Malaysian economy is currently overcoming sluggish sentiments with the completion of the general election and the market is expected to revive in the coming year. Towards the end of 2013, both MVM and TGM saw a higher rise in footfall and consumer spending. Riding on this, we envisage IGB REIT's future prospects to be bright in 2014 and beyond.

The Malaysian Government's Visit Malaysia Year 2014 initiative is also expected to further contribute to the performance of the two malls as we step up tourism efforts to draw tourists to shopping centres.

On behalf of the Board, we wish to express our deepest gratitude to the management for their professionalism and dedication to steering IGB REIT towards excellence. We should also extend special thanks to all our unitholders, customers, financiers, business associates and the relevant authorities for their continued support, confidence, contributions and commitment towards IGB REIT.

We look forward to continuing our esteemed partnership going forward and we will strive to ensure that your support continues to be rewarded.

TAN SRI DATO' DR. LIN SEE YAN
Chairman

DATO' SERI ROBERT TAN CHUNG MENG
Managing Director

Message from the Chief Executive Officer

KEY PERFORMANCE HIGHLIGHTS

In 2013, The Malaysian Institute of Economic Research ("MIER") showed some negativity with the Consumer Sentiments Index (CSI) ending the fourth quarter of 2013 at 82.4 points, 26.0 points lower than the previous quarter. In the same quarter, the Business Conditions Index (BCI) declined 6.6 points to 92.0 points.

Despite this, 2013 was another strong year for IGB REIT, building further on our good performance in 2012. Even in this challenging economic environment, IGB REIT continued to outperform its markets, delivering strong top and bottom line results. Retail sales growth remained robust in 2013, spurred by promotions for Chinese New Year, Hari Raya, Deepavali and Christmas celebrations, as well as year-end bonus payouts and the disbursement of Government incentives such as the Bantuan Rakyat 1Malaysia.

OPERATIONS REVIEW

IGB REIT delivered a healthy performance in 2013 which was largely attributable to asset enhancement initiatives at its existing retail assets – Mid Valley Megamall ("MVM") and The Gardens Mall ("TGM").

The full year financial results for the year ended 31 December, 2013 ("FY2013") were broadly in line with forecasts. IGB REIT recorded revenue of RM430.7 million and net property income of RM285.7 million. These were mainly from the rental income of MVM and TGM.

HUMAN CAPITAL

Our employees are always our most valuable asset. Therefore, we have put in place mentorship and management development programmes to hone our employees' skills. Our human capital initiatives include the implementation of on-going training, development solutions and increasing skills to enhance the quality and productivity of our staff.

RECOGNISED

Demonstrating its international appeal, as well as domestic, in 2012 and 2013 TGM received the *Best Shopping Experience: Excellence Award from Expatriate Lifestyle*, as well as being a submitted entry for the *Malaysia Tourist Award 2013*.

CORPORATE SOCIAL RESPONSIBILITY ("CSR")

We believe that being a responsible business directly contributes to our financial success. Therefore, IGB REIT serves as a responsible corporate citizen through our philanthropic and volunteer activities, as well as environmental conservation and health and safety events every year. Both MVM and TGM, together with their partners, celebrated the major festive seasons with poor and underprivileged communities, and developed programmes to raise awareness for the conservation of the environment.

PHILANTHROPY AND VOLUNTEERISM

Chinese New Year: MVM paid a visit to the Bellevue Residential Homecare in Petaling Jaya. We brought in a professional barber to prepare them for their New Year celebrations and arranged a *Lou Sang* session with them. The atmosphere was livened up even further with acrobatic lion dance performances. During the same period, TGM distributed *ang pow* and donated to the *Rainbow Home*. Together with the sponsorship of Cold Storage and Nippon Paint, we presented hampers to the orphans and repainted *Rainbow Home*.

Hari Raya: MVM partnered with Maybank to organise a "Berbuka Puasa" session with a total of 70 underprivileged children from the Persatuan Kebajikan Al-Shakur and Dignity for Children Foundation. TGM donated to the Kampung Orang Asli Pian in Pahang and aided them in the construction of a traditional structure, the "*Balai Adat*". We packed lunch for them as well, and after a good morning's work, we spent some time eating and talking to the villagers.

Christmas: MVM hosted the *Angels Children's Home* and *Precious Children's Home* in a Christmas Charity Outing. TGM visited Rumah KIDS and brought them out for a day at the movies at GSC Signature followed by lunch at Italiannies.

Education: In order to provide holistic education programs to the underprivileged communities operated by an international NGO, SOLS 24/7, MVM collaborated with Magicbird Publishing, Mastercard and HSBC Bank to raise funds for building libraries for the underprivileged.

Message from the Chief Executive Officer
(continued)

ENVIRONMENT

Beautiful Earth: Based on the international theme "*The Face of Climate Change*" in conjunction with Earth Month, MVM underwent a celebration of the aesthetic beauty of our local natural environment. This also aims to educate the public about environmental conservation. Throughout this event, visitors were greeted with unique displays of some of our local natural resources, exciting games, conservation tips, giveaways and also the opportunity to bring home a uniquely-designed eco-friendly bag.

I am proud of our efforts to be the catalyst for positive change in the communities we serve and we will continue to extend a helping hand to those who are not as fortunate as ourselves. I firmly believe that CSR practices help IGB REIT maintain our performance as a responsible corporate citizen.

THE YEAR AHEAD

According to the MIER, economic activity is improving in major advanced economies, driving growth in emerging markets and developing economies.

Malaysia is emerging from the low-cost category, and we are aware of the hidden potential of TGM, as well as the existing business at MVM. Playing a role in the current improvements in living standards as well as the nation's long term competitiveness, TGM is well-positioned to expand market access and maintain high standards in terms of product and service qualities.

Even taking into account factors such as rising consumer inflation, tighter credit conditions and moderation in financing, Malaysia's economy is expected to grow by 5% next year, buoyed by strong sustained domestic demand which may also drive the improvement of external demand. We are confident that IGB REIT possesses the financial stability and core competencies to remain competitive and uphold efficient operations in the coming financial year.

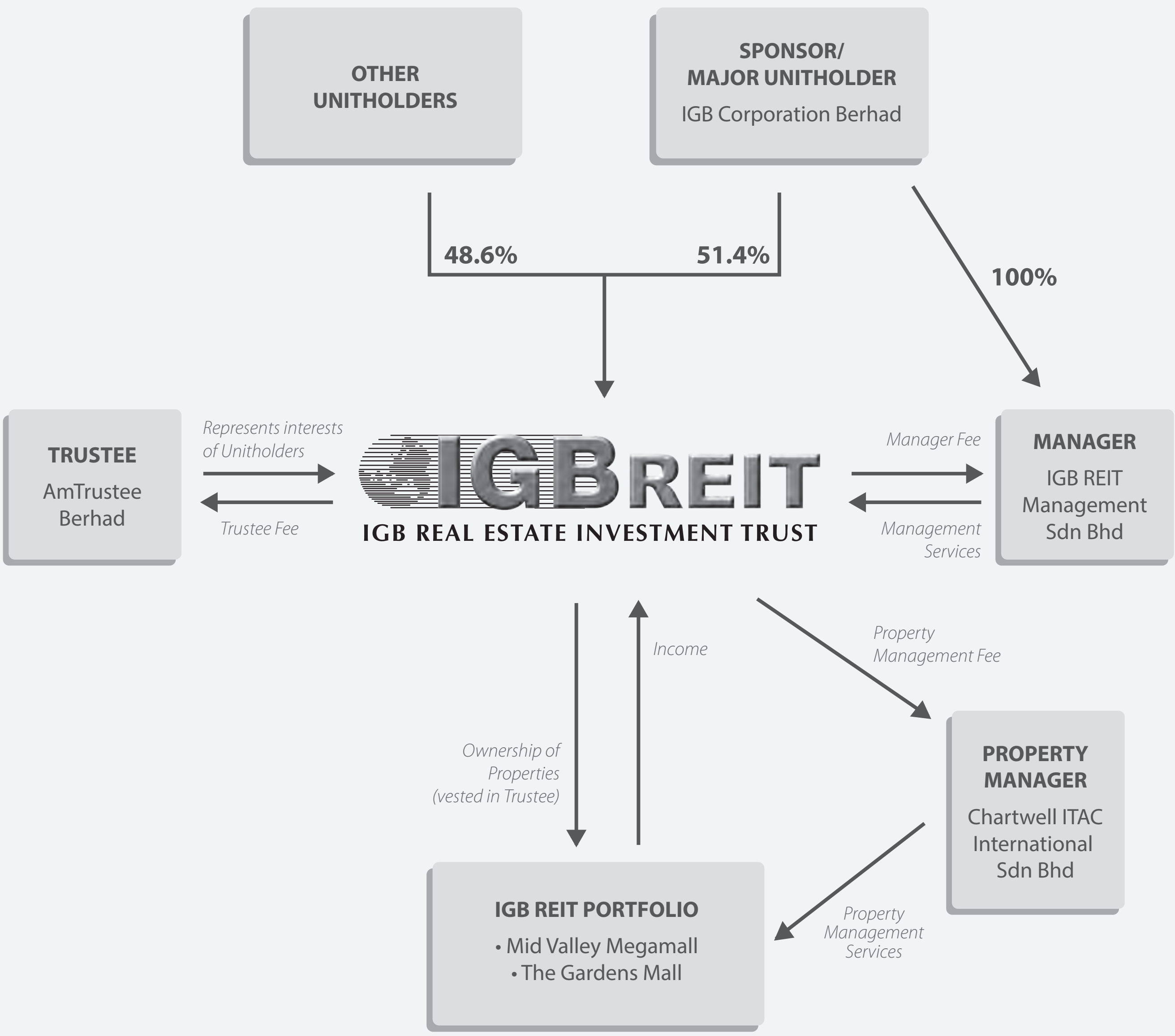
APPRECIATION

I wish to express our heartfelt appreciation to unitholders, business partners, fellow colleagues, tenants and shoppers for their continuous support and efforts in sustaining IGB REIT.

I appreciate the guidance received from the Trustee and our fellow Board members of the Manager throughout the year.

ANTONY PATRICK BARRAGRY
Chief Executive Officer

IGB REIT Structure



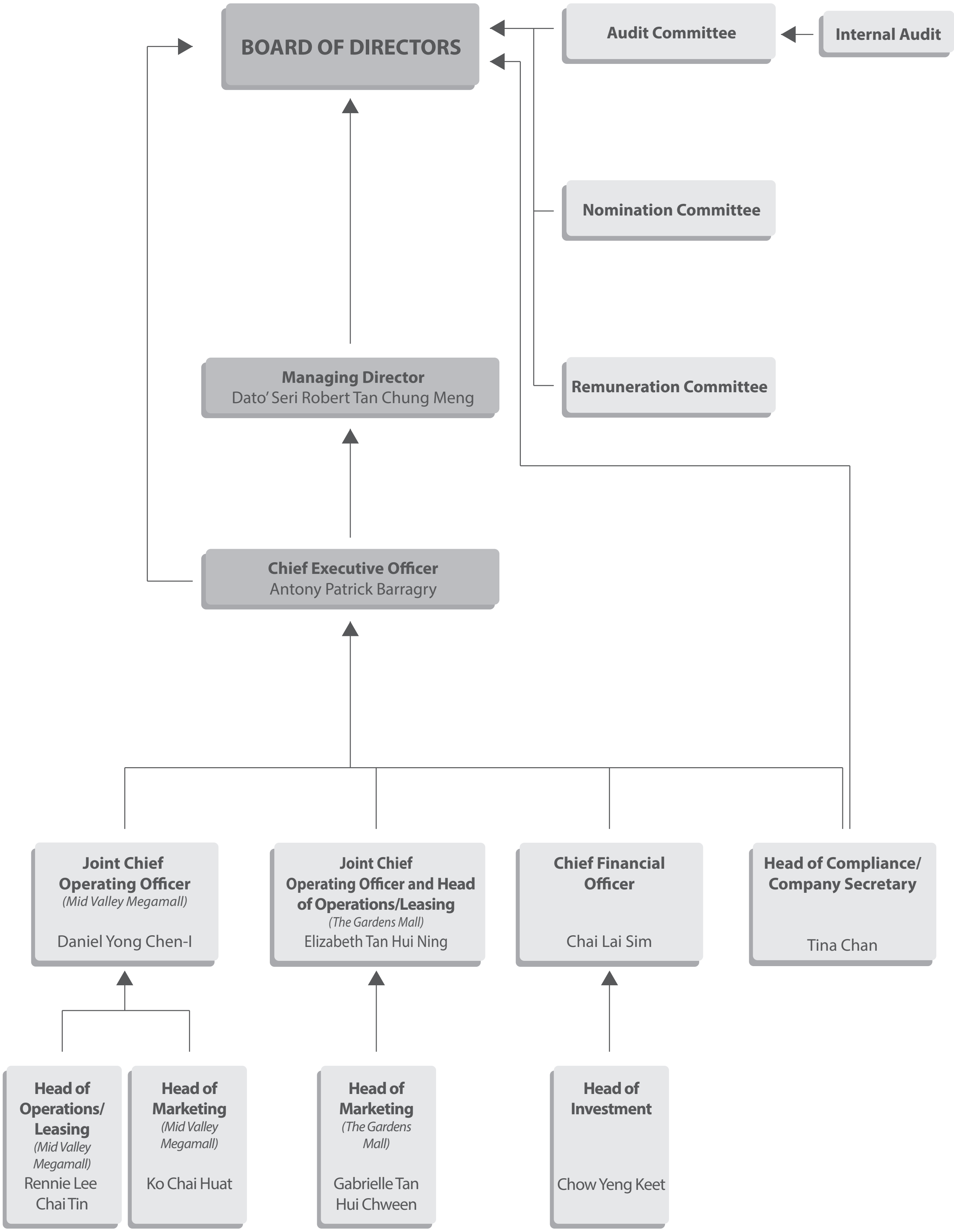
Salient Features of IGB REIT

Fund Name	IGB REIT
Fund Category	Real estate investment trust
Fund Type	Income stability and growth
Fund Duration	IGB REIT shall terminate on the earlier of: • the occurrence of any of events listed in Clause 26.2 of the deed of trust dated 18 July 2012 ("Deed"); • the date 999 years after 25 July 2012 i.e. the date of establishment of IGB REIT; or • the date on which IGB REIT is terminated by the Manager under Clause 26.1(b) of the Deed
Approved Fund Size	3,550,000,000 units
Authorised Investments	Real estate, unlisted single-purpose companies, real estate-related assets, non-real estate-related assets, cash, deposits, money market instruments and any other investments not specified above but specified as a permissible investment in the Securities Commission's ("SC") Guidelines on Real Estate Investment Trusts ("REIT Guidelines") or as otherwise permitted by the SC
Authorised Investments Limits	The investments of IGB REIT are subject to the following investments limits imposed by the REIT Guidelines: • at least 50.0% of IGB REIT's total asset value ("TAV") must be invested in real estate assets at all times; and • not more than 25.0% of IGB REIT's TAV may be invested in non-real estate-related assets and/or cash, deposits and money market instruments, provided that investments in both real estate-related assets and non-real estate-related assets are limited as follows: • the value of IGB REIT's investments in securities issued by any single issuer must not exceed 5.0% of IGB REIT's TAV; • the value of IGB REIT's investments in securities issued by any group of companies must not exceed 10.0% of IGB REIT's TAV; and • IGB REIT's investment in any class of securities must not exceed 10.0% of the securities issued by any single issuer, or such other limits and investments as may be permitted by the SC or the REIT Guidelines
Distribution Policy	100% of IGB REIT's distributable income from 25 July 2012 to 31 December 2014, and thereafter at least 90% of IGB REIT's distributable income on a half-yearly basis (or such other intervals as the Manager may determine at its absolute discretion)
Borrowing Limitations and Gearing Policy	Up to 50.0% of IGB REIT's TAV at the time the borrowing is incurred or such higher amount with the prior approval of the unitholders or such other limit permitted by the REIT Guidelines from time to time

Salient Features of IGB REIT
(continued)

Revaluation Policy	At least once every three years based on an independent professional valuation pursuant to the REIT Guidelines or such other shorter interval as the Manager deems necessary
Manager Fee	The Manager may elect to receive the Manager Fee in cash or units or a combination of cash and units (as it may in its sole discretion determine). The Manager is entitled under the Deed to the following Manager Fees (exclusive of service tax, if any): • Base Fee: up to 1.0% per annum of IGB REIT's TAV (excluding cash and bank balances which are held in non-interest bearing accounts) (FY2013: RM14,675,000) • Performance Fee: 5.0% per annum of IGB REIT's net property income in the relevant financial year (FY2013: RM14,172,000) • Acquisition Fee: 1.0% of the total purchase consideration of any Authorised Investments directly or indirectly acquired by the Trustee on behalf of IGB REIT • Divestment Fee: 0.5% of the total sale consideration of any Authorised Investments directly or indirectly sold or divested by the Trustee on behalf of IGB REIT
Financial Year (FY2013)	1 January 2013 to 31 December 2013
Minimum Investment	100 units per board lot
Bursa Securities Stock Number	IGBREIT 5227

Reporting Structure



Profile of Directors

TAN SRI DATO' DR. LIN SEE YAN
Chairman
Independent Non-Executive Director

Tan Sri Dato' Dr. Lin See Yan, aged 74, is an Independent Non-Executive Director ("INED") and Chairman of the Manager. He was appointed to the Board on 27 April 2012. He is also the Chairman of Nomination Committee ("NC") and Remuneration Committee ("RC"), and a member of Audit Committee ("AC").

Dr. Lin is an independent strategic and financial consultant. Prior to 1998, he was Chairman/President and Chief Executive Officer of Pacific Bank Group and for 14 years previously, Deputy Governor of Bank Negara Malaysia (the Central Bank), having been a central banker for 34 years. Dr. Lin continues to serve the public interest, including Member, Prime Minister's Economic Council Working Group, as well as a member of a number of key National Committees on Higher Education; Economic Advisor, Associated Chinese Chambers of Commerce & Industry of Malaysia; Board Director, Monash University Malaysia Sdn Bhd and Sunway University Sdn Bhd; and Governor, Asian Institute of Management, Manila. In addition, Dr. Lin sits on the boards of several public listed companies in Malaysia, including Ancom Berhad, Genting Berhad, JobStreet Corporation Berhad, Wah Seong Corporation Berhad ("WSCB") and Top Glove Corporation Berhad, and a number of business enterprises in Malaysia, Singapore and Indonesia engaged in mining, petroleum related products, property development, software and private equity. Dr. Lin is a Member of Harvard University's Graduate School Alumni Association Council in Cambridge (USA) as well as President, Harvard Club of Malaysia. He is also Professor of Economics (Adjunct), Universiti Utara Malaysia and Professor of Business & International Finance (Adjunct), University Malaysia Sabah and a Trustee of the Tun Ismail Ali Foundation (PNB), Harvard Club of Malaysia Foundation, Malaysian Economic Association Foundation and Jeffrey Cheah Foundation.

Professionally qualified in the United Kingdom as a Chartered Statistician, Dr. Lin is also banker, economist and venture entrepreneur, having received three post-graduate degrees from Harvard University (including a PhD in Economics) where he was a Mason Fellow and Ford Scholar. He is a British Chartered Scientist. Tan Sri is an Eisenhower Fellow and a Fellow of the IMF Institute (Washington DC), Royal Statistical Society (London), Malaysian Institute of Bankers, Malaysian Insurance Institute, Malaysian Institute of Management and Malaysian Economic Association. He is also a Distinguished Fellow of the Institute of Strategic and International Studies in Malaysia.

DATO' SERI ROBERT TAN CHUNG MENG
Managing Director
Non-Independent Executive Director

Dato' Seri Robert Tan Chung Meng, aged 61, is the Managing Director of the Manager and a Non-Independent Executive Director ("NIED"). He was appointed to the Board on 21 March 2012. He is also a RC member.

Dato' Seri has extensive experience in property development, hotel construction, retail design and development as well as corporate management with more than 30 years experience in the property industry. After studying Business Administration in the United Kingdom, he was attached to a Chartered Surveyor's firm for a year. He also developed a housing project in Central London before returning to Malaysia. His stint in the property industry began with IGB Corporation Berhad ("IGB") in 1995 when he was IGB's Joint Managing Director and subsequently becoming its Group Managing Director in 2001, a position he currently holds today.

Dato' Seri has been involved in various development projects carried out by IGB group, in particular Mid Valley City. From inception to the realisation of Mid Valley Megamall and The Gardens Mall, he was actively involved in every stage of their developments. He is instrumental to the development and success of Mid Valley Megamall and The Gardens Mall and more importantly, in retaining their positions as prime retail players amidst increasingly competitive retail landscape. Through his management and leadership, Mid Valley Megamall and The Gardens Mall are now two of the most popular shopping malls in the Klang Valley, enjoying an almost full occupancy rate for the past few years.

Dato' Seri is also the Non-Executive Chairman of WSCB and a Director of Tan & Tan Developments Berhad ("Tan & Tan"), a property division of IGB.

Profile of Directors
(continued)

HALIM BIN HAJI DIN
Independent Non-Executive Director

Halim bin Haji Din, aged 67, is an INED. He joined the Board of the Manager on 27 April 2012, and was appointed the AC Chairman. He is also a member of NC and RC.

He is a Chartered Accountant who spent more than 30 years working for multinational corporations and international consulting firms. He accumulated 18 years of experience working in the Oil and Gas Industry – 6 years of which as a Board member of Caltex/Chevron, responsible for financial management, before engaging in the consulting business. Prior to his appointment as a Board member of Caltex Malaysia, Encik Halim served as Regional Financial Advisor for Caltex Petroleum Corporation Dallas, Texas overseeing investment viability of the corporation's Asian subsidiaries.

He also had an extensive experience in corporate recovery when he worked for Ernst & Whinney, London, United Kingdom in mid-1980's. He was appointed as Managing Partner of the consulting division of Ernst & Young Malaysia from 1995. He later became the Country Advisor of Cap Gemini Ernst & Young Consulting Malaysia when Cap Gemini of France merged with Ernst & Young Consulting. In 2003, he with two partners took over the consulting business of Cap Gemini Ernst & Young Malaysia through a management buy-out and rebranded it as Innovation Associates, currently known as The IA Group, where he is currently the Chairman of the group.

He was a Council Member of The Malaysian Institute of Certified Public Accountants from 1994 to 2003. He also served as a Board member of Employees Provident Fund for 4 years from April 2009 to May 2013.

He is also a Director of WSCB and BNP Paribas Malaysia Berhad.

LE CHING TAI @ LEE CHEN CHONG
Independent Non-Executive Director

Lee Chen Chong, aged 72, was appointed to the Board of the Manager on 27 April 2012, and is an INED. He is also a member of AC, NC and RC.

He is a Fellow of the Chartered Institute of Bankers (FCIB), London, United Kingdom and spent a total of 34 years in commercial and international banking with local as well as banks overseas. From 1972 to 1984, he was the Chief Executive Officer of an overseas bank in the City of London. In 1985, he returned to Malaysia and joined a Malaysia-French joint-venture bank in Kuala Lumpur as an Executive Director. He was subsequently appointed the Managing Director until he relinquished the post in end 1993. The next 4 years saw him spend time overseas as Chief Executive Officer and Director of international banks in the Czech Republic, Hungary and Malta. He was associated with Multi-Purpose group of companies from 1989 until his retirement as Executive Director in end 2000. He was also an Executive Director of Ipmuda Berhad from December 2001 until retiring in January 2008.

He is presently the Chairman of Koyo International Limited, which is listed on Singapore Exchange Securities Trading limited.

TAN BOON LEE
Non-Independent Executive Director

Tan Boon Lee, aged 50, was appointed to the Board on 27 April 2012, and is a NIED.

He holds a Bachelor of Economics from Monash University, Australia and a Masters in Business Administration from Cranfield School of Management, United Kingdom.

He has 27 years' experience in the property and hotel industry, providing management and technical assistance to hotel and hospitality projects in Malaysia and Asia. He was President of the Malaysian Association of Hotel Owners (MAHO) from 2002 to 2004. He spearheaded IGB group's growth into emerging economies of Myanmar and Cambodia in 1990's via the group's hotel division.

He is presently an Executive Director of IGB, a Director of Goldis Berhad ("Goldis"), Dato' Tan Chin Nam Foundation and SW Homeowners Berhad, and the Chief Executive Officer of Tan & Tan.

Profile of Directors
(continued)

TAN LEI CHENG
Non-Independent Non-Executive Director

Tan Lei Cheng, aged 57, was appointed to the Board of the Manager on 27 April 2012, and is a Non-Independent Non-Executive Director ("NINED"). She is also a member of AC and NC.

She holds a Bachelor of Commerce from the University of Melbourne, Australia, and a Bachelor of Law from King's College, London (LLB Hons.), England. She is also a member of Lincoln's Inn and was admitted to the English Bar in 1983.

She has more than 30 years of experience in the property industry and the corporate sector. She was the Chief Executive Officer of Tan & Tan from March 1995, a property development company that was listed on Bursa Securities until Goldis took over its listing on 8 May 2002, following the completion of the merger between IGB, Tan & Tan and Goldis. She is presently the Executive Chairman and Chief Executive Officer of Goldis.

She also sits on the boards of IGB, Tan & Tan and Dato' Tan Chin Nam Foundation. She is a member of the World Presidents' Organisation, Malaysia Chapter.

DANIEL YONG CHEN-I
Joint Chief Operating Officer (Mid Valley Megamall)
Non-Independent Executive Director

Daniel Yong Chen-I, aged 42, was appointed to the Board of the Manager on 27 April 2012. He is a NIED and the Joint Chief Operating Officer (Mid Valley Megamall) of the Manager.

He is a law graduate from the University of Bristol, England. He joined Mid Valley City Sdn Bhd ("MVC") in 1999 as a member of the pre-opening retail development team. He was appointed an Executive Director of MVC in 2003 and is responsible for overseeing the management and operation of Mid Valley Megamall since. He was also involved in the design and pre-opening of The Gardens Mall from 2004 to 2007. His prior work experience includes the development of bespoke systems with BYG Systems Ltd in England and Operational Management with Wah Seong Engineering Sdn Bhd, the distributor and manufacturer for Toshiba Elevator and Escalators in Malaysia.

He is the alternate Director to Pauline Tan Suat Ming on the boards of IGB and WSCB.

ELIZABETH TAN HUI NING
Joint Chief Operating Officer and Head of Operations/Leasing (The Gardens Mall)
Non-Independent Executive Director

Elizabeth Tan Hui Ning, aged 30, was appointed to the Board of the Manager on 27 April 2012. She is a NIED, the Joint Chief Operating Officer and Head of Operations/Leasing (The Gardens Mall) of the Manager.

She graduated with First Class Honours from Cardiff University, Wales, United Kingdom with a degree in Business Administration (BSc) in June 2004. She joined Mid Valley City Gardens Sdn Bhd ("MVCG") in August 2004 and subsequently assumed her present role as the Director of Leasing of MVCG. She is responsible for the conceptualisation and strategy of the tenant mix of The Gardens Mall as well as overseeing the leasing, retail development and customer service departments.

TAN YEE SENG
Non-Independent Non-Executive Director

Tan Yee Seng , aged 33, was appointed to the Board of the Manager on 27 April 2012 and is a NINED.

He holds a professional Diploma of Architecture (Royal Institute of British Architects, Part 2) from the University of East London, United Kingdom. He joined IGB in 2010 as Senior General Manager (Property Development). His prior work experience includes being part of the pre-opening team member of G Tower which is owned by Goldis, where he oversaw the coordination of base building, fit out and operations. He was also extensively involved in the aesthetic realisation of The Gardens Mall while working at Ensignia Construction Sdn Bhd, the construction arm of IGB, where he worked as a design architect. There he used his training to create and fine tune the facades and key elements of The Gardens Mall and Mid Valley Megamall. He has also been a design architect at Eric Kuhne Associates in London where he worked on several large mixed-use proposals.

He is the alternate Director to Tan Boon Seng on the board of IGB and a Director of Tan & Tan.

Notes:
1. *All Directors are Malaysian.*
2. *Save for Dato' Seri Robert Tan Chung Meng, Tan Boon Lee, Tan Lei Cheng, Daniel Yong Chen-I, Elizabeth Tan Hui Ning and Tan Yee Seng, the Directors have no family relationship with any Director of the Manager and/or major unitholder of IGB REIT.*
3. *Save for the Directors' interests in IGB REIT (as disclosed under Unitholdings of Directors and CEO) and the transactions with companies related to the Manager (as disclosed in Notes to the Financial Statements), no conflict of interest has arisen during FY2013.*
4. *All Directors have not been convicted of any offence.*

Profile of Management

ANTONY PATRICK BARRAGRY

Antony Patrick Barragry, aged 62, a British but a permanent resident of Malaysia, was appointed the Chief Executive Officer ("CEO") of the Manager on 1 September 2012.

He is a qualified architect with 37 years of international experience in the design, development and operations of major mixed-use developments.

His prior work experience includes the Jebel Ali Hotel development in Dubai, Putra World Trade Centre in Kuala Lumpur and Cragan Palace Hotel in Istanbul. His career with IGB group commenced with Renaissance Kuala Lumpur Hotel. Subsequently, he was appointed Project Director in the construction of Mid Valley City Phase 1, including Mid Valley Megamall. Appointed as Executive Director of MVC in 2002, he spearheaded the development of more than 6 million sq ft of commercial space in Mid Valley City's Phases 2, 3 and 4. He was also Project Director for the design and construction of St Giles Hotel, Heathrow, London and the upgrading of IGB's Pangkor Island Beach Resort, a 100-acre beach-front property on Pangkor Island. He was the Chief Executive Officer of MVCG from January 2008 until he relinquished the post in September 2012.

He holds a Diploma in Architecture from the University of Sheffield and is a member of the International Council of Shopping Centres and The International Real-Estate Federation ("FIABCI").

He has not been convicted of any offences and has no conflict of interest with IGB REIT, save for the interest in IGB REIT as disclosed in Unitholdings of Directors and CEO. He does not has any family relationship with any Director of the Manager and/or major unitholder of IGB REIT.

DANIEL YONG CHEN-I

Daniel Yong Chen-I is the Joint Chief Operating Officer (Mid Valley Megamall) and a NIED of the Manager. His profile is presented in the Profile of Directors.

ELIZABETH TAN HUI NING

Elizabeth Tan Hui Ning is the Joint Chief Operating Officer and Head of Operations/Leasing (The Gardens Mall), and a NIED of the Manager. Her profile is presented in the Profile of Directors.

CHAI LAI SIM

Chai Lai Sim is the Chief Financial Officer ("CFO") of the Manager.

She has over 30 years of experience in audit, corporate finance, capital management strategy including treasury, financial accounting and taxation in property development, commercial and retail property investment and hospitality industries. She began her career as an articled student with Coopers & Lybrand (now known as PriceWaterhouseCoopers) before joining Tan & Tan as the Group Financial Controller in 1993. Following the completion of the merger between Tan & Tan and IGB in 2002, she was appointed the Senior Group General Manager of Group Finance and subsequently assumed the present role of Group CFO of IGB.

She is a member of both the Malaysian Institute of Accountants (MIA) and the Malaysian Institute of Certified Public Accountants (MICPA).

TINA CHAN LAI YIN

Tina Chan Lai Yin is the Head of Compliance and the Company Secretary of the Manager.

She has a broad knowledge and skill-base in corporate secretarial work, having dealt with a wide range of corporate exercises in the course of her 25 years working experience. She is also presently the Company Secretary of IGB group, a position which she has held since 1997. She heads the corporate secretarial division and is responsible for the efficient administration of IGB group, particularly with regard to ensuring compliance with statutory and regulatory requirements including key areas relating to governance and compliance structures which are implemented throughout the group. Prior to joining IGB, she had worked in a legal firm, Rahman Hashim, V.T. Ravindran and Partners where she was the Company Secretary cum Administrator and was later attached to Tan & Tan, her last position there being the Joint Company Secretary where she had been significantly involved in the floatation of Tan & Tan in 1993 (the listing status of which was assumed by Goldis following the completion of the merger between Tan & Tan and IGB in 2002).

She is an Associate of The Institute of Chartered Secretaries and Administrators.

Profile of Management
(continued)

CHOW YENG KEET

Chow Yeng Keet is the Head of Investment of the Manager.

He is presently the General Manager, Corporate Finance of IGB and Director of Finance of MVC. He has 6 years of experience in corporate finance and advisory covering mergers and acquisitions, equity and debt fund raising, capital management and restructuring, valuations as well as take-over offers.

He started his career as Corporate Finance Executive with the then Sime Merchant Bankers Berhad in 1997. Thereafter, he was with Commerce International Merchant Bankers Berhad (now known as CIMB Investment Bank Berhad) for 5 years where his last position was a Corporate Finance Manager prior to joining IGB in 2004.

He holds a Bachelor of Economics (First Class Honours) from University of Malaya and is a Fellow of the Association of Chartered Certified Accountants.

RENNIE LEE CHAI TIN

Rennie Lee Chai Tin is the Head of Operations/Leasing (Mid Valley Megamall) of the Manager. She is also the General Manager of MVC.

She joined MVC in 1995. She has more than 20 years of work experience in leasing and operations within the retail industry. She is credited with being part of the founding team in the marketing of Mid Valley City. Her previous work experience includes the leasing and marketing of Mahkota Parade in Malacca, Subang Parade and IOI Shopping centres in Kuala Lumpur. She was a key member of Mid Valley Megamall pre-opening team.

KO CHAI HUAT

Ko Chai Huat is the Head of Marketing (Mid Valley Megamall) of the Manager. He is also the Director of Design of MVC.

He joined MVC in 1999. He has 26 years of work experience in visual merchandising as well as advertising and promotions. He was formerly Visual Merchandising Manager at Atria Shopping Centre in Petaling Jaya. He directs, conceptualise and leads all design set ups for promotional activities and events in Mid Valley Megamall. He was a key member of Mid Valley Megamall pre-opening team. He holds a Diploma in Fine Arts.

GABRIELLE TAN HUI CHWEEN

Gabrielle Tan Hui Chween is the Head of Marketing (The Gardens Mall) of the Manager. She is also the Director of Marketing of MVCG.

She holds a Bachelor of Arts in Business Economics from the University of Exeter, United Kingdom and a Bachelor of Fine Arts degree in fashion design and marketing from the American Intercontinental University, London, United Kingdom. She joined MVCG as the Head of Marketing in 2008 and subsequently assumed the role of Director of Marketing. She oversees the advertising and promotions activities as well as the public relations initiatives at The Gardens Mall. She is also a Director of MVCG.

Governance Report

IGB Real Estate Investment Trust ("IGB REIT") was established on 25 July 2012 with the principal investment policy of investing, directly and indirectly, in a diversified portfolio of income producing real estate used primarily for retail purposes (including retail properties and mixed-use developments with a retail component) in Malaysia and overseas, as well as real estate-related assets, with the key objective of providing unitholders with regular and stable distributions, sustainable long term unit price and distributable income and capital growth, while maintaining an appropriate capital structure.

IGB REIT was listed on the Main Market of Bursa Malaysia Securities Berhad ("Bursa Securities") on 21 September 2012 with 2 investment properties under its portfolio, namely Mid Valley Megamall and The Gardens Mall (collectively, "Properties").

IGB REIT Management Sdn Bhd was appointed the Manager of IGB REIT pursuant to the deed of trust dated 18 July 2012 ("Deed"). The Manager shall, subject to the provisions of the Deed, carry out all activities as it may deem necessary for the management of IGB REIT and its business.

The Board of Directors ("Board") of the Manager remains committed towards ensuring that the Manager implements and operates good governance practices in its overall management of IGB REIT. In developing its system of corporate governance, the Board is guided by the measures set out in the Securities Commission's ("SC") Guidelines on Real Estate Investment Trusts ("REIT Guidelines"), Bursa Securities' Main Market Listing Requirements ("MMLR") and Malaysian Code on Corporate Governance 2012 ("MCCG"). The policies and practices of the Manager, supported by existing internal control processes, are regularly audited and reviewed, to ensure competency, accountability and transparency.

This report outlines the Manager's governance principles which sets out the role of the Board, its processes and its relationship with executive management as well as describes the work of the Board and its Committees during the financial year ended 31 December 2013 ("FY2013"). Except where specifically identified in this report, the Board believes that the Manager has complied in all its substantial respects with the best practices of MCCG and the provisions in the MMLR as well as the obligations under the Deed in discharging its responsibilities as Manager.

I. THE MANAGER

IGB REIT is externally managed and administered by the Manager and accordingly, it has no personnel of its own. The Manager appoints experienced and qualified personnel to handle the day-to-day operations of IGB REIT. All Directors and employees of the Manager are remunerated by the Manager and not IGB REIT. The Manager also manages and supervises the service providers including the property manager, who provides property management, marketing and management services for the Properties pursuant to the property management agreement.

The Manager's main responsibility is to manage activities in relation to IGB REIT. The Manager shall, in managing IGB REIT, undertake primary management activities including but not limited to overall strategy, risk management strategy, new acquisition and disposal analysis, marketing and communications, individual asset performance and business planning, market performance analysis and other activities as provided under the Deed, and in accordance with acceptable and efficacious business practices in the real estate investment industry ("REIT") in Malaysia.

The Manager has been issued a Capital Markets Services Licence by the SC on 28 June 2013 to carry on the regulated activity of fund management in relation to asset management as required under the new licensing regime for REIT managers which took effect from 28 December 2012. The Manager's 2 licensed representatives, namely Antony Patrick Barragry and Elizabeth Tan Hui Ning have also respectively been issued with a Capital Markets Services Representative's Licence.

II. BOARD OF DIRECTORS ("BOARD" OR "DIRECTORS")

(a) The Board

The Manager is led and managed by an experienced Board with a wide and varied range of expertise.

The Board has the overall responsibility for managing and governing the Manager and IGB REIT in the best interests of unitholders and stakeholders. The Board provides leadership to the Manager, sets the strategic directions and oversees the management of IGB REIT.

The Board assumes, among others, the following key roles:

(i) Set objectives, goals and strategic plans for the Manager and IGB REIT with a view of maximising unitholders' value.
(ii) Formulate policies and oversee the proper conduct of the Manager (including budgeting approval and all other financial matters).
(iii) Oversee the conduct of the assets under IGB REIT's portfolio to evaluate whether they are properly managed.
(iv) Consider management's recommendations on key issues including acquisitions, divestments, funding and significant capital expenditure.
(v) Oversee the risk management processes, internal compliance controls and integrity of management information systems of the Manager and IGB REIT.
(vi) Monitor compliance with all relevant laws, legislative and regulatory requirements (including continuous disclosure).
(vii) Determine and approve the distribution amounts to unitholders.

Governance Report
(continued)

The roles and responsibilities of the Board in discharging its fiduciary leadership functions are elaborated in the Board Charter which was adopted by the Board on 1 March 2013. The Board has also adopted the Directors' Code of Business Conduct and Ethics which provides an ethical framework to guide actions and behaviours of all Directors while carrying out their roles and duties. The Board has also put in place a set of internal guidelines, which set out authority limit for, among others, capital expenditure, investments and divestments, and operation of bank accounts. The Board approves transactions exceeding certain limits, while delegating authority for transactions below those limits to the Managing Director ("MD") and the Chief Executive Officer ("CEO"). For transactions below a certain level, the authority is delegated to the key management to facilitate operational efficiency.

(b) Board Composition and Balance

The Directors with property investment and commercial experience with diverse academic backgrounds provide a collective range of skills and expertise which is vital to effectively lead the Manager and IGB REIT. A brief profile of each Director is presented in the Profile of Directors.

The Board as at the date of this statement comprises 9 members; 5 Non-Executive Directors ("NEDs") and 4 Executive Directors ("Executive Board"), with 3 of the 5 NEDs being Independent Directors ("INEDs"). The current Board fulfils the requirement under the MMLR which requires one-third of the Board to be independent. The Executive Board and NEDs are equal members of the Board, both having fiduciary duties to unitholders and have overall collective responsibility for the direction and performance of the Manager and IGB REIT.

There is a clear identifiable roles and responsibilities for Board Chairman, MD and CEO. This is to ensure an appropriate balance of power and authority to facilitate effective oversight and clear segregation of duties. The Board Chairman is an INED. He assumes responsibility for the management of the Board and ensures that members of the Board and the management work together with integrity and competency, and that the Board engages the management in constructive debate on strategies, business operations, enterprise risks and other plans. The MD as a representative of the Board, together with the CEO, is accountable to the Board and responsible over the business direction and the strategy implementation of the Manager and IGB REIT. The CEO has the overall responsibility for the day-to-day operational management of the Manager and IGB REIT, including execution of the agreed business policies and directions set by the Board and of all operational decisions in managing the Manager and IGB REIT.

The INEDs, all of whom are persons of high calibre and integrity, play important roles by exercising independent judgement and objective participation in the proceedings and decision-making processes of the Board. The presence of INEDs fulfils a pivotal role in corporate accountability to ensure that the interests of minority unitholders are properly safeguarded. The other non-INEDs ("NINEDs") also bring with them a wide range of essential business and financial experience relevant to the Manager and IGB REIT.

The size and composition of the Board are reviewed annually. The Nomination Committee ("NC") examines the size and composition of the Board with a view of determining the impact of the number upon effectiveness and makes recommendations to the Board on what it considers an appropriate size and composition for the Board. The Board is satisfied that the Board as presently constituted is of sufficient size and diversity with the appropriate mix of experience, competencies and skills to carry out its responsibilities.

(c) Board Meetings and Access to Information

Directors are expected to prepare for, attend, and contribute meaningfully in all Board and applicable Board Committee meetings in order to discharge their obligations. Consistent with their fiduciary duties, Directors are expected to maintain the confidentiality of the deliberations of the Board and its Committees.

Board meetings are scheduled at least once every quarter, to discuss and review IGB REIT's business and affairs, with a focus on its performance and results as well as matters of material consequence for IGB REIT and its unitholders. Additional meetings may be convened as warranted by specific circumstances. To facilitate participation at the Board meetings, Directors may attend in person, via telephone or video-conference. Board meetings are also supplemented by resolutions circulated to the Directors for decision between the scheduled meetings. The Board met 4 times during FY2013 which were attended by all Directors except Elizabeth Tan Hui Ning who attended 3 out of 4 Board meetings.

Directors receive agenda together with a full set of Board papers containing information relevant to the business of the meetings ahead of the scheduled meetings to enable Directors to peruse, obtain additional information and/or seek further explanations or clarification on the matters to be deliberated. The key management officers of the Manager are invited to attend Board meetings to present reports on matters relating to their areas of responsibility, and to brief and provide details on recommendations or reports submitted to the Board. In the event of potential conflict of interest, the Director in such position will make a declaration in the meeting and abstain from deliberation and decision of the Board on the subject proposal. Matters to be considered by the Board will be adopted on the basis of a majority of votes. In the case of an equality of vote, the Board Chairman will have a casting vote. A record of the Board's deliberation of the issues discussed and conclusions reached in discharging its duties and responsibilities is captured in the minutes of each meeting. Minutes of each Board meeting are circulated to each Director prior to confirmation of the minutes in the next meeting.

Governance Report
(continued)

The Directors are notified of any announcement released to Bursa Securities and the impending restriction in dealing with the securities of IGB REIT prior to the announcement of the financial results. Directors are also expected to observe insider trading laws at all times even when dealing with securities within the permitted trading period.

All Directors have full and unrestricted access to all information and records of the Manager and IGB REIT as well as the advice and services of key management officers and company secretary in furtherance of their duties. Directors may seek external legal or independent professional advice on any matter concerned with the discharge of their responsibilities as they may deem necessary and appropriate.

(d) Board Committees

The Board has entrusted specific responsibilities to certain Board Committees, which operate within defined terms of reference. The authority and role of the Board Committees are set out in the Board Charter. The Committees meet as circumstances dictate. The chairman of the respective Board Committees reports to the Board on any salient matters noted by the Committees and which require the Board's notice, direction or approval. The minutes of Committees' meetings are included in the Board papers. In common with the Board, each Committee has access to independent advice and counsel as required.

The composition of the Board Committees and their terms of reference were as follows:

(i) Audit Committee ("AC")

AC comprises 3 INEDs and a NINED, namely Halim bin Haji Din (Chairman), Tan Sri Dato' Dr. Lin See Yan, Le Ching Tai @ Lee Chen Chong and Tan Lei Cheng, all of whom have the appropriate accounting experience or related financial management expertise. With an independent component of 75% and comprised of NEDs, the composition of AC is fully compliant with the MMLR.

AC meets at least quarterly. AC met 4 times in 2013 to assist the Board in discharging its responsibility for the integrity of IGB REIT's quarterly and year-end financial results, the assessment of the effectiveness and efficiency of the internal controls, risk management and governance processes of IGB REIT and the Manager and monitoring the effectiveness of the internal and external auditors. AC also met independently twice in 2013 with the external auditors without the presence of Executive Board and key management officers.

Further details on terms of reference and activities carried out by AC during FY2013 are set out in the Audit Committee Report.

(ii) NC

NC comprises 3 INEDs and a NINED, namely Tan Sri Dato' Dr. Lin See Yan (Chairman), Halim bin Haji Din, Le Ching Tai @ Lee Chen Chong and Tan Lei Cheng.

NC recommends suitable candidates for appointments to the Board, including Committees of the Board; conducts annual review of the structure, size and composition of the Board (including skills, knowledge, experience and gender diversity), the performance of the Board, its Committees and individual Directors and those Directors who are due for re-election/re-appointment at the Manager's annual general meeting ("AGM"); assesses the performance of the INEDs based on the criteria for independence as defined in the MMLR; and review Board's succession plans.

NC met in January 2014 during which it carried out a performance evaluation of the Board, its Committees and each of the Directors and an assessment of the INEDs as well as Directors due for re-election/re-appointment at the Manager's AGM, and made recommendations to the Board as appropriate. This process is discussed in more detail in the sections under Board Appointment and Re-election and Board Performance Evaluation.

(iii) Remuneration Committee ("RC")

RC comprises 3 INEDs and the MD, namely Tan Sri Dato' Dr. Lin See Yan (Chairman), Halim Bin Haji Din, Le Ching Tai @ Lee Chen Chong and Dato' Seri Robert Tan Chung Meng.

RC recommends to the Board the policy framework on terms of employment and on all elements of the remuneration of the Executive Board, CEO and key management officers; reviews and approves the annual salary increment and bonus of the Executive Board, CEO and key management officers; and reviews and recommends to the Board the remuneration framework for NEDs' annual fee and meeting allowance. In its deliberation, RC will take into consideration industry practices and norms in addition to the Manager's relative performance to the industry and performance of the individual Directors. No Directors will be involved in deciding his or her own remuneration.

Governance Report
(continued)

RC met twice in 2013 during which it undertook a review of the performance of the Executive Board, CEO and key management officers and approved their extension of service contracts with specific adjustments in remuneration and/or reward payments, reflecting their contributions for the year. RC also reviewed the level of remuneration of NEDs in line with the responsibilities and contributions made by them to the effective functioning of the Board whereupon recommendation was submitted to the Board for approval.

(iv) Investment Working Group ("IWG")

The IWG, comprising the Executive Board and CEO, is tasked with the responsibilities to review, assess and consider investment and divestment strategies of IGB REIT, with an aim to grow IGB REIT and improve distribution yields.

(e) Board Appointment and Re-election

Appointments to the Board are the responsibility of the full Board on the recommendation of NC. There is a formal and transparent procedure for appointment of new Directors to the Board, which is made on merit against objective criteria for the purpose. There were no new appointments to the Board during FY2013.

The Board Charter does not impose a term of limitation on the tenure of a Director. Term limits hold the disadvantage of losing Directors who have been able to develop, over a period of time, increasing insight into the operations of the Manager and IGB REIT and, therefore, provide an increasing contribution to the Board as a whole.

The Manager's constitution provides that one third of the Board except for the MD shall retire from office and be eligible for re-election at every AGM. The Directors to retire in each year are those who have remained in office the longest since their last election/appointment. Directors over 70 years of age are also required to submit themselves for re-appointment annually in compliance with Section 129(6) of the Companies Act 1965 ("Act").

Prior to the appointment of a new Director or Directors standing for re-election/re-appointment, NC reviews the skills and contribution of the Directors concerned. The recommendation from NC would then be considered by the Board. NC also assesses the independence of INEDs based on the criteria for independence as defined in the MMLR and other governance standards as appropriate and presents its assessment to the Board for final determination.

NC at its meeting in January 2014 assessed and recommended that those Directors retiring under the Manager's constitution or the Act be nominated for re-election/re-appointment having regard to the individual's experience, contributions and performance whereupon the Board has endorsed NC's recommendation. NC also assessed the independence of the 3 INEDs and is satisfied that they remain objective and independent in carrying out their roles and responsibilities as members of the Board and Board Committees.

In accordance with the MMLR, each member of the Board holds not more than 5 directorships in public listed companies save for Tan Sri Dato' Dr. Lin See Yan who has been granted an extension of time from Bursa Securities to comply with the requirement by end of June 2014.

(f) Board Performance Evaluation

The Board under the guidance of NC reviews and evaluates its own performance and the performance of its Committees as well as the contribution of each Director on an annual basis against both measurable and quantitative indicators, thus ensuring the Manager is under the oversight and guidance of an accountable and competent Board. The review allows each Director to individually express his/her personal assessment of the Board's overall effectiveness in accomplishing its goals and discharging its responsibilities. It provides insight into the functioning of the Board, while identifying areas that might need strengthening and development. Each Director is required to complete an assessment questionnaire. The questionnaire covers topic which include, among others, the responsibilities of the Board in relation to strategies and direction, accountability and oversight, risk management, performance management, compliance and corporate governance. Other areas being assessed include Board structure, Board decision-making and meeting processes. Upon completion of the evaluation process, the NC chairman briefs the Board on the overall results of the evaluation conducted and improvements recommended where appropriate.

For the year under review, NC has conducted the process, and concluded that the Board as a whole and its Committees have performed well with the individual's creditability to add value to the Board and Board Committees' deliberations and exercise objective judgement in decision-making processes, and each of the Director has devoted the necessary time to appropriately discharge their responsibilities and contributed to the governance and operations of the Manager and IGB REIT. All INEDs as at the end of 2013 are considered by the Board to be wholly independent of any personal business connection with the Manager and IGB REIT.

Governance Report
(continued)

(g) Directors' Remuneration

The remuneration of the Directors is paid by the Manager and not IGB REIT. The remuneration structures are designed as such to attract, motivate and retain Directors of the calibre needed to assist in managing the Manager's operations efficiently.

The Executive Board and CEO have entered into service agreements with the Manager. The service agreement covers the terms of employment, specifically salary and other benefits. NED's remuneration reflects the experience, expertise and level of responsibilities undertaken by the individual NED concerned.

In general, the remuneration of the Executive Board and CEO is structured on the basis of linking rewards to corporate and individual performance. Performance is measured against profits and other targets set from the Manager's annual budget and plans. The NEDs' remuneration takes the form primarily of fees, which are agreed by the Board and approved at the Manager's AGM. NEDs also receive meeting allowances for participation in meetings of the Board and any Committee meetings. The Directors do not participate in decision regarding their own remuneration.

Evaluation of the Directors' remuneration is performed once a year, and this process has been conducted by the RC in 2013, whereupon recommendations were submitted to the Board for approval. The Directors' fees paid to NEDs for FY2013 totalled RM170,000.00.

(h) Directors' Continuing Education

The Board firmly believes in the continuing education of individual Directors for maintaining a current and effective Board. Accordingly, the Board encourages Directors to participate in ongoing education as well as participation in accredited director education programmes.

During FY2013, all Directors had attended various training programmes, conferences and workshops which they have individually or collectively considered as relevant and useful in contributing to the effective discharge of their duties as Directors. The Directors had attended/participated in one or more of the following training programmes/conferences/workshops in 2013:

▪ Singapore Exchange Limited ("SGX") - "Selection, dynamics and performance of a board seminar"
▪ SGX - "Taking your organisation to the next level in governance and value"
* The Asian World Summit's 5th Annual Corporate Governance - "Is self-regulation in corporate governance achievable?"
* PKF Asia Pacific - "Asia, Global Healing and Cheap Money"
▪ PNB Investment Institute - "Risk management forum embracing risks for long-term corporate success – boosting your risk governance"
* 15th International Surveyors' Congress - "World Economic Scenario: Prospects in a world of slow growth and zero interest rates"
* Mutiara Community Forum - "Growth in emerging Asia will slacken – what are we to do"
▪ Tecity Investment and Research of Singapore - "Quantitative Easing and Singapore's housing market"
▪ Singapore Institute of Directors – "Directors Conference 2013"
▪ IGB Board Session – "MCCG and MMLR Updates"
▪ IGB Board Session – "Budget 2014"
▪ Goldis Board Session – "Personal Data Protection Act 2010"
▪ Blue Ocean Strategy Workshop
▪ MIA International Accountants Conference
▪ Multimedia Development Corporation - "MSC Malaysia Shared Services Outsourcing Market Outlook 2013"
▪ Employees Provident Fund ("EPF") – "EPF Global Private Equity Summit 2013"
▪ BNP Paribas–INCEIF Centre for Islamic Wealth Management Inaugural Public Lecture - "The Future of Islamic Wealth Management in Malaysia and in the OIC World: Issues & Challenges"
▪ RHB Jewel Forum 2013 – "RHB Top Malaysian Small Cap Companies"
▪ Thomson Reuters Accelus - The 4th Pan Asian Regulatory Summit
▪ MNRB Holdings Berhad ("MNRB") Board Session – "The Malaysian Financial Reporting Standard, Financial Services Act 2013/Islamic Financial Services Act 2013, and MCCG"
▪ The Tun Ismail Mohamed Ali Memorial Lecture Series 2012/13 – "Corporate Governance and Short-Termism"
▪ PricewaterhouseCoopers Board Agenda Series – "Boards and strategy – where are we?"

* *Tan Sri Dato' Dr. Lin See Yan acted as a panellist and/or keynote speaker*

The Directors are also kept informed of the various requirements and updates issued by regulatory authorities.

Governance Report
(continued)

III. INVESTOR RELATIONS AND UNITHOLDERS COMMUNICATION

The Board acknowledges the need for unitholders and investors to be informed of all material business matters affecting IGB REIT. In addition to the various disclosures and announcements made to Bursa Securities, the timely release of quarterly and annual results provides unitholders and investing public with an overview of IGB REIT's performance. The Manager has a website at www.igbreit.com from which investors, analysts and unitholders can access detailed information on IGB REIT's businesses and latest developments. All information reported to the market via the regulatory information service appears as soon as practicable on the corporate website to promote accessibility of information to all market participants.

Unitholders' meeting of IGB REIT provides the principal forum for dialogue and interaction between the Board and unitholders. The participation of unitholders, both individuals and institutional, at unitholders' meetings on clarifications of pertinent and relevant information is encouraged. The first ("1st") AGM of IGB REIT was held on 28 May 2013 following the requisite requirement to convene an AGM once every calendar year under the REIT Guidelines. The Board Chairman, MD and CEO responded to unitholders' questions, where appropriate, during the 1st AGM. The auditor was also present to answer unitholders' questions on the conduct of the statutory audit and the preparation and content of their audit report. All Directors attended the 1st AGM. A press conference was held after the 1st AGM.

Management of the Manager also conducts regular dialogues, briefings and meetings with fund managers, financial analysts and the media to provide updates and new developments about IGB REIT, based on permissible disclosures. However, information that is price-sensitive or that may be regarded as undisclosed material information about IGB REIT is not disclosed in these sessions until after the prescribed announcement to Bursa Securities has been made.

Whilst the Manager aims to provide sufficient information to unitholders and investors about IGB REIT, it also recognises that unitholders and investors may have specific queries and require additional information. Any enquiries on investor related matters may be directed to this email address: investorrelations@igbreit.com. To better serve stakeholders of IGB REIT, a feedback page on the website provides an avenue for stakeholders to suggest improvements via email address: feedback@igbreit.com.

IV. ACCOUNTABILITY AND AUDIT

(a) Financial Reporting

The Board is committed to providing a balanced, clear and comprehensive assessment of the financial performance and prospects of IGB REIT in all disclosures made to stakeholders and regulatory authorities.

The Board, assisted by AC, oversees the financial reporting process and the quality of the financial reporting of the Manager and IGB REIT. AC reviews and monitors the integrity of IGB REIT's annual and interim financial statements. It also reviews the appropriateness of the Manager's and IGB REIT's accounting policies and the changes to these policies as well as ensures these financial statements comply with accounting standards and regulatory requirements.

The Statement by the Manager in respect of the preparation of the annual audited financial statements of IGB REIT is set out in the Financial Statements.

(b) Internal Control

The Board is responsible to maintain a sound system of internal controls that provides reasonable assurance of effective and efficient operations, and compliance with laws and regulations, as well as with internal procedures to safeguard unitholders' investment and IGB REIT's assets. While acknowledging their responsibility for the system of internal control, the Directors are aware that the Manager's system is designed to manage rather than eliminate risks and therefore cannot provide absolute assurance against material misstatement, fraud and loss.

The Manager's internal audit function is undertaken by the internal audit division of its parent company, IGB. The internal audit reports directly to AC on matters pertaining to the Manager and IGB REIT.

The Board is satisfied that a continual process for identifying, evaluating and managing significant risks has been in place for FY2013 and up to the date of this Annual Report.

(c) Relationship with the Auditors

The appointment of the auditors, who may be nominated by the Manager, must be approved by the Trustee. The auditors appointed must be independent of the Manager and the Trustee. The remuneration of the auditors must be approved by the Trustee.

The Board maintains, via AC, an active, transparent and professional relationship with the auditors of IGB REIT. The auditors report their findings to AC members as part of the audit process on the statutory financial statements. The role of AC in relation to the auditors is disclosed in the Audit Committee Report.

Governance Report
(continued)

(d) Compliance Officer

The Manager has a designated compliance officer working towards ensuring the compliance with all legislations, rules and guidelines issued by the SC and Bursa Securities as well as the Deed.

V. CONFLICTS OF INTEREST AND RELATED PARTY TRANSACTIONS ("RPT")

The Deed provides that the Manager, the Trustee and any delegate of either of them shall avoid conflicts of interest arising or, if conflicts arise, shall ensure that IGB REIT is not disadvantaged by the transaction concerned. The Manager must not make improper use of its position in managing IGB REIT to gain, directly or indirectly, an advantage for itself or for any other person or to cause detriment to the interest of unitholders.

In dealing with any conflict-of-interest situations that may arise, the Manager's policy is that all transactions carried out for or on behalf of IGB REIT are to be executed on terms that are best available to IGB REIT and which are no less favourable than arm's-length transactions between independent parties.

For RPT, the Manager has established procedures to ensure that transactions involving, among others, the Trustee, the Manager, the Directors, the CEO, the major unitholders and persons connected with them, are conducted at arm's - length and on normal commercial terms, which are generally no more favourable than those extended to unrelated third parties, and in accordance with all applicable requirements of the REIT Guidelines and/or MMLR relating to the transaction in question. All RPT are reviewed by AC on a quarterly basis. If a member of the Board and/or AC has an interest in a transaction, the Director concerned is to abstain from participating in the review and recommendation process in relation to that transaction. The Manager shall adhere strictly to the Deed which prohibits the Manager and its related parties from voting with their units at, or being part of a quorum for, any meeting of unitholders convened to approve any matter in which the Manager and its related parties have interest in the outcome of the transaction unless an exemption is obtained from the SC.

Details of the RPT entered into by IGB REIT during FY2013 are disclosed in the Notes to the Financial Statements.

VI. CORPORATE SOCIAL RESPONSIBILITY ("CSR")

Information on IGB REIT's CSR activities is disclosed in the Message from the Chief Executive Officer.

Audit Committee Report

FORMATION

The Audit Committee ("AC") was established by the Board of the Manager on 7 May 2012.

The role of AC is to assist the Board in fulfilling its oversight responsibilities for the financial reporting process, the system of internal controls and the audit process of the Manager and IGB REIT as well as the Manager's process for monitoring compliance with laws and regulations.

COMPOSITION

The AC members since its establishment are as follows:

Encik Halim bin Haji Din, *AC Chairman (INED)*
Tan Sri Dato' Dr. Lin See Yan *(INED)*
Le Ching Tai @ Lee Chen Chong *(INED)*
Tan Lei Cheng *(NINED)*

TERMS OF REFERENCE

AC is governed by the following terms of reference:

(a) Membership

AC members shall be appointed by the Board and shall consist of not less than 3 members, all of whom must be NEDs, with a majority of them, including the chairman, must be independent. No alternate Director shall be appointed to AC.

(b) Authority

AC shall, within the limits of the policy determined and powers delegated by the Board, has the authority to -

(i) investigate any matter within its terms of reference;
(ii) obtain the resources required to perform its duties;
(iii) full and unrestricted access to information, records and documents relevant to its activities;
(iv) communicate directly with the external and internal auditors, as well as employees of the Manager;
(v) engage, consult and obtain external legal or independent professional advice as necessary; and
(vi) convene meetings with external and internal auditors, property manager or its service providers or all of them whenever deemed necessary.

(c) Responsibilities

The responsibilities of AC include -

(i) review and recommend quarterly results of IGB REIT and annual financial statements of IGB REIT and the Manager for the Board's approval, focusing primarily on:

- going concern assumptions;
- changes and implementation of new accounting policies and practices;
- major judgemental areas, significant and unusual events; and
- compliance with approved financial reporting standards and regulatory requirements.

(ii) review with external auditors of the following:

- audit plans and audit reports and the extent of assistance rendered by employees of the Manager, property manager or its service providers;
- evaluation of the system of internal controls;
- issues and reservations arising from audits; and
- audit fee and any questions of resignation, dismissal or reappointment of external auditors.

Audit Committee Report
(continued)

(iii) review with internal auditors of the following:

- internal audit's charter which defines the independent purpose, authority, scope and responsibility of the internal audit function;
- adequacy and relevance of the scope, functions, competency and resources of the internal audit function and the necessary authority to carry out its work;
- audit plan of work programme and results of the internal audit processes including recommendations and actions taken;
- effectiveness of the system of internal controls, risk management and governance processes including compliance with the operational manual, REIT Guidelines and MMLR; and
- assessment of the performance of the internal audit function including that of senior staff and any matter concerning their appointment and termination.

(iv) review RPT and conflict-of-interest situations that may arise, including any transaction, procedure or course of conduct that raises questions of management integrity.

(v) consider and recommend the distribution amounts to unitholders for the Board's approval.

(vi) review all prospective financial information provided to the regulators and/or the public.

(vii) prepare reports, if the circumstances arise or at least once a year, summarising the work performed by AC for inclusion in IGB REIT Annual Report.

(viii) report promptly to Bursa Securities on any matter reported by it to the Board which has not been satisfactorily resolved resulting in breach of MMLR.

(ix) act on any matters as may be directed by the Board from time to time.

(d) Meetings

AC shall meet at least 4 times a year and its quorum must at all times comprised at least 2 INEDs. AC meetings may be held by telephone or video-conference or by circular resolution. Other Board members and key management officers may attend meetings upon invitation of AC, to assist in its deliberations and resolutions of matters raised.

At least twice a year, AC shall meet with external auditors without the presence of Executive Board and employees of the Manager. Additional meetings may be held upon request by any AC member, internal or external auditors.

Minutes shall be kept of the proceedings and the resolutions of AC. Minutes shall be signed by the chairman and made available prior to the next meeting and approved therein. AC Chairman shall report to the Board on any salient matters noted by AC and which requires the Board's notice, direction and approval. AC minutes shall be included in the Board papers.

MEETINGS FY2013

AC met 4 times in FY2013 which were attended by all members.

The MD, CFO, Head of Compliance, Head of Investment, internal and external auditors were invited to AC meetings to present their respective reports to AC. The external auditors attended 2 AC meetings in 2013 to present the Auditors' Report on the annual financial statements FY2012 and Auditors' Audit Plan FY2013. AC also met with PwC twice in 2013 without the presence of the MD, CEO and management of the Manager to make enquiries in relation to management's co-operation in financial reporting, and the state of affairs of internal audit function.

ACTIVITIES FY2013

The activities of AC during FY2013:

(a) Financial Reporting

(i) Reviewed and recommended for the Board's approval the quarterly results and annual financial statements of IGB REIT.
(ii) Reviewed and recommended for the Board's approval the annual financial statements of the Manager.
(iii) Reviewed and discussed management accounts with the management.

Audit Committee Report
(continued)

(b) External Audit

(i) Reviewed and approved external auditors' audit plan and the scope for the annual audit.
(ii) Recommended to the Board and endorsed by Trustee on the re-appointment and remuneration of external auditors.
(iii) Reviewed and directed follow-up action, when needed, the findings of external auditors on the results of the external audits.
(iv) Reviewed the extent of assistance rendered by management and issues and reservations arising from statutory audit with external auditors, without the presence of the MD, CEO and management.

(c) Internal Audit

(i) Reviewed and approved internal auditors' charter as well as annual audit plan which covered entities across all level operations within the Manager.
(ii) Reviewed and directed follow-up action when needed, on internal audit reports on the Manager and IGB REIT.
(iii) Reviewed internal auditors' reports on the effectiveness and adequacy of internal controls, risk management, operational, compliance and governance processes.

(d) RPT

(i) Reviewed all RPT entered into by IGB REIT.
(ii) Reviewed any conflict-of-interest situation that may arise including any transaction, procedure or course of conduct that raises questions of management integrity.

AC'S CONTINUING EDUCATION

The details of training programme and seminars attended by each AC member during FY2013 are set out in the Governance Report under "Directors' Continuing Education".

INTERNAL AUDIT FUNCTION

The internal audit function is outsourced and undertaken by the Manager's parent company's Group Internal Audit division. It reports to AC on its activities based on the approved annual internal audit plan. The internal auditors adopt a risk-based auditing approach, taking into account global best practices and industry standards. The main role of the internal auditors is to provide AC with independent and objective reports on the effectiveness of the system of internal controls within the Manager. The internal auditors' reports arising from assignments were issued to the management for their response, corrective actions and status of implementation of audit recommendations. The internal auditors' reports were subsequently tabled to AC for their deliberation.

The internal auditors carried out the following activities during FY2013:

(a) Prepared the annual audit plan for AC's approval.
(b) Performed special audits as requested by the management and issued audit reports on the results.
(c) Attended AC's meeting to table and discuss the audit reports and followed up on matters raised.
(d) Performed governance review and compliance with REIT Guidelines, MMLR and MCCG.

The costs incurred for the internal audit function for FY2013 were RM80,000.00.

Statistics of Unitholders

As at 18 February 2014

APPROVED FUND SIZE
3,550,000,000 Units

ISSUED AND FULLY PAID UNITS
3,428,753,071 Units (voting right : 1 vote per Unit)

PUBLIC SPREAD
As at 18 February 2014, public unitholdings spread of IGB REIT was 46.18%*

* *Excluding Unitholdings held by Directors of the Manager and their associates, and major unitholders of IGB REIT and their associates*

DISTRIBUTION OF UNITHOLDINGS

Range of Unitholdings	No. of Unitholders	% of Unitholders	No. of Issued Units	% of Issued Units
Less than 100	1,343	5.88	43,062	Nil
100 – 1,000	7,684	33.66	3,735,921	0.11
1,001 – 10,000	9,646	42.26	42,466,444	1.24
10,001 – 100,000	3,436	15.05	111,759,412	3.26
100,001 to less than 5% of Issued Units	716	3.14	1,364,678,078	39.80
5% and above of Issued Units	2	0.01	1,906,070,154	55.59
Total	**22,827**	**100.00**	**3,428,753,071**	**100.00**

SUBSTANTIAL UNITHOLDERS (5% AND ABOVE)

Name	Direct No. of Units	% of Issued Units	Deemed** No. of Units	% of Issued Units
IGB Corporation Berhad	1,733,617,754	50.56	28,839,184	0.84
Goldis Berhad	41,234,424	1.20	1,763,167,068	51.42
Dato' Seri Robert Tan Chung Meng	7,289,081	0.21	1,816,113,594	52.97
Pauline Tan Suat Ming	1,080,898	0.03	1,816,113,594	52.97
Tony Tan @ Choon Keat	1,000,000	0.03	1,816,113,594	52.97
Tan Chin Nam Sdn Bhd	4,282,888	0.12	1,813,335,127	52.89
Tan Kim Yeow Sdn Bhd	2,879,665	0.08	1,813,233,929	52.88
Wah Seong (M) Trading Co. Sdn. Bhd.	6,079,992	0.18	1,806,828,592	52.70
Kumpulan Wang Persaraan (Diperbadankan)	176,010,220	5.13	Nil	Nil

** *Deemed interests held by other corporations by virtue of Section 6A(4) of the Companies Act 1965*

UNITHOLDINGS OF DIRECTORS AND CEO

Name	Direct No. of Units	% of Issued Units	Deemed** No. of Units	% of Issued Units
Dato' Seri Robert Tan Chung Meng	7,289,081	0.21	1,816,113,594	52.97
Tan Boon Lee	1,989,725	0.06	Nil	Nil
Tan Lei Cheng	1,853,742	0.05	345,722	0.01
Daniel Yong Chen-I	627,132	0.02	Nil	Nil
Elizabeth Tan Hui Ning	850,000	0.02	Nil	Nil
Tan Yee Seng	707,200	0.02	Nil	Nil
Antony Patrick Barragry	631,300	0.02	Nil	Nil

Statistics of Unitholders

As at 18 February 2014
(continued)

TOP 30 UNITHOLDERS

No.	Name	No. of Units	% of Issued Units
1	IGB Corporation Berhad	1,733,617,754	50.56
2	Kumpulan Wang Persaraan (Diperbadankan)	176,010,220	5.13
3	HSBC Nominees (Asing) Sdn Bhd Exempt AN for The Bank of New York Mellon (BNYM as E&A)	137,000,000	4.00
4	Citigroup Nominees (Tempatan) Sdn Bhd Employees Provident Fund Board	78,823,213	2.30
5	Maybank Nominees (Tempatan) Sdn Bhd Maybank Trustees Berhad for Public Regular Savings Fund (N14011940100)	68,738,228	2.00
6	Cartaban Nominees (Tempatan) Sdn Bhd Exempt AN for Eastspring Investments Berhad	57,186,492	1.67
7	Malaysia Nominees (Tempatan) Sendirian Berhad Great Eastern Life Assurance (Malaysia) Berhad (PAR 1)	57,000,800	1.66
8	Citigroup Nominees (Tempatan) Sdn Bhd Exempt AN for AIA Bhd.	49,566,531	1.45
9	Goldis Berhad	41,234,424	1.20
10	HSBC Nominees (Asing) Sdn Bhd Exempt AN for The Hongkong and Shanghai Banking Corporation Limited (PB-HKDIV-ACCL)	34,463,328	1.00
11	Amanahraya Trustees Berhad Public Smallcap Fund	33,134,616	0.97
12	Amanahraya Trustees Berhad Public Dividend Select Fund	28,995,332	0.85
13	Amanahraya Trustees Berhad Public Savings Fund	28,938,276	0.84
14	IGB REIT Management Sdn Bhd	28,753,071	0.84
15	HSBC Nominees (Asing) Sdn Bhd Exempt AN for JP Morgan Chase Bank, National Association (U.S.A.)	27,324,428	0.80
16	Pertubuhan Keselamatan Sosial	24,257,350	0.71
17	HSBC Nominees (Asing) Sdn Bhd Exempt AN for JP Morgan Chase Bank, National Association (Saudi Arabia)	20,000,000	0.58
18	HSBC Nominees (Asing) Sdn Bhd Exempt AN for Credit Suisse (SG BR-TST-ASING)	19,510,390	0.57
19	Citigroup Nominees (Tempatan) Sdn Bhd Employees Provident Fund Board (Nomura)	18,496,236	0.54
20	CIMB Commerce Trustee Berhad Public Focus Select Fund	17,668,285	0.51
21	Cartaban Nominees (Asing) Sdn BHd GIC Private Limited for Government of Singapore (C)	16,634,249	0.48
22	Amanahraya Trustees Berhad Public Equity Fund	13,926,468	0.41
23	Malaysia Nominees (Tempatan) Sendirian Berhad Great Eastern Life Assurance (Malaysia) Berhad (LSF)	13,017,000	0.38
24	HSBC Nominees (Asing) Sdn Bhd HSBC-FS I for Best Investment Corporation (Wasatch Advisor)	12,628,298	0.37
25	HSBC Nominees (Asing) Sdn Bhd Exempt AN for The Hongkong and Shanghai Banking Corporation Berhad (HBAP-SGDIV-ACCL)	11,989,809	0.35
26	DB (Malaysia) Nominee (Tempatan) Sendirian Berhad Deutsche Trustees Malaysia Berhad for Amasia Pacific REITS	9,519,100	0.28
27	Amanahraya Trustees Berhad Public Sector Select Fund	9,345,100	0.27
28	Valuecap Sdn Bhd	9,300,000	0.27
29	Amanahraya Trustees Berhad Public Far-East Property & Resorts Fund	9,222,400	0.27
30	Tokio Marine Life Insurance Malaysia Bhd As beneficial owner (PF)	9,131,200	0.27
	Total	**2,795,432,598**	**81.53**

Manager Report

The Manager of IGB Real Estate Investment Trust ("IGB REIT"), IGB REIT Management Sdn Bhd ("Manager"), is pleased to submit their report and audited financial statements to unitholders of IGB REIT for the financial year ended 31 December 2013.

PRINCIPAL ACTIVITY AND INVESTMENT OBJECTIVES

IGB REIT is a Malaysia-domiciled real estate investment trust ("REIT") established on 25 July 2012 pursuant to the deed of trust dated 18 July 2012 ("Deed") between the Manager and AmTrustee Berhad ("Trustee") and listed on Main Market of Bursa Malaysia Securities Berhad ("Bursa Securities") on 21 September 2012. The Deed is regulated by the Securities Commission Act 1993, the Securities Commission's Guidelines on Real Estate Investment Trusts, the Listing Requirements of Bursa Securities, the Rules of Bursa Malaysia Depository ("Depository") and taxation laws and rulings. IGB REIT will continue its operations until such time as determined by the Manager and the Trustee as provided under the provisions of Clause 26 of the Deed. The principal investment policy of IGB REIT is to invest, directly and indirectly, in a diversified portfolio of income producing real estate used primarily for retail purposes in Malaysia and overseas as well as real estate related assets. Real estate used primarily for retail purposes would include retail properties and mixed used development with a retail component.

The primary objective of IGB REIT is to provide unitholders with regular and stable distributions, sustainable long term unit price, distributable income and capital growth, while maintaining an appropriate capital structure.

Investment strategies

The Manager intends to increase the income and consequently the value of the assets, through the following strategies:

- Active asset management strategy
  - ensured continued high shopper traffic at malls;
  - continual improvement of rental rate while maintaining high occupancy rates;
  - deliver quality services to tenants and maintain strong tenant relationship;
  - aimed at improving operational efficiency and reducing operating cost without compromising on quality of services to tenants and shoppers; and
  - increasing net lettable area via asset enhancement initiatives.

- Acquisition growth strategy
  - explore acquisition opportunities if such opportunities fit within the investment criteria and investment objectives of IGB REIT; and
  - focus on acquisitions that are immediately yield accretive, but will also consider those that are not immediately yield accretive that will still add value to Unitholders over the long term.

- Capital and risk management strategy
  - adopt and maintain an appropriate gearing level and active interest rate management strategy;
  - diversify sources of debt funding to the extent appropriate;
  - maintain a reasonable level of debt service capability;
  - secure favourable terms of funding ;
  - managing its financial obligations; and
  - managing the exposure arising from adverse market interest rates, such as through fixed rate borrowings to optimise the cost of capital.

REVIEW FOR FINANCIAL YEAR ENDED 31 DECEMBER 2013

The Manager confirmed that IGB REIT has achieved its investment objective for the financial year and there is no change in the strategies adopted as disclosed in IGB REIT initial public offering prospectus.

There are no significant changes in the state of affairs of the fund during the financial year ended 31 December 2013 and up to the date of this report other than those disclosed in the financial statements.

The audited profit after tax ("PAT") for financial year ended ("FYE") 31 December 2013 is RM311.95 million which is approximately 59.1% higher than the forecast PAT for FYE 31 December 2013 included in IGB REIT's prospectus dated 27 August 2012 ("Prospectus"). This is mainly due to fair value gains on investment properties of RM105 million.

Excluding such fair value gains, the adjusted audited PAT for FYE 31 December 2013 is approximately 5.5% higher than forecast PAT included in the Prospectus at RM196.09 million.

Manager Report
(continued)

MALAYSIA RETAIL INDUSTRY REVIEW AND OUTLOOK

Malaysia's retail industry recorded a sluggish sales growth of 3.1% in the third quarter of 2013 compared with 4.8% in 2012, according to a report by Retail Group Malaysia ("RGM").

The drop was the lowest sales growth since the fourth quarter of 2009 when it went up by 3%. The Ramadan month and Hari Raya during the third quarter did not lift the overall retail sales and only retailers selling festive goods enjoyed better sales, based on the latest Malaysia Retail Industry Report.

Bank Negara had implemented new policies on bank borrowing to control household debt in July 2013. Personal loans are available only for up to 10 years instead of 25 years, which should have affected sales of big-ticket items including furniture and electrical & electronics goods. During this period, many retailers continued to offer steep discounts and very attractive offers to attract shoppers. Once again, their bottom line was severely affected.

The 3.1% growth in the third quarter of 2013 was 70% lower than the earlier 10.5% estimate by the Malaysia Retailers Association ("MRA") retailers compiled in September 2013, as well as 52% lower than the estimated 6.5% given by RGM in the same period. Moving forward, the MRA retailers expected a 4.2% increase in their business during the fourth quarter of 2013.

RGM was maintaining its 6% growth rate for the Malaysia retail industry in 2014 despite the "tsunami of price hike" in recent months. A review on the growth rate will only be carried out after all the market changes have taken place. Cost of living of the average Malaysian has been rising since the last quarter of 2013 and the increment will be even more apparent in the first six months of 2014. Visit Malaysia Year 2014 would bring many retailers continued to offer steep discounts and more sales to retailers located in major city centres and popular tourist attractions in Malaysia.

(Source: The Star, Starbiz, 16.01.2014)

MATERIAL LITIGATION

The Manager is not aware of any material litigation since the balance sheet date as at 31 December 2013 up to the date of this report.

CIRCUMSTANCES THAT MATERIALLY AFFECT THE INTERESTS OF UNITHOLDERS

There are no circumstances which materially affect the interests of the Unitholders.

Financial Review

SUMMARY OF FINANCIAL RESULTS

	FY 2013 RM'000	Forecast 2013 RM'000	FP 2012* RM'000	Forecast 2012* RM'000
Gross Revenue	**430,726**	**408,103**	115,285	110,718
Net Property Income	**285,727**	**276,592**	76,174	74,084
Distributable Income	**241,110**	**230,476**	62,333	60,866
Distribution per Unit ("DPU") (sen)	**7.04**	**6.71**	1.83	1.79
Annualised DPU (sen)	**7.04**	**6.71**	6.50	6.36

GROSS REVENUE

	FY 2013 RM'000	Forecast 2013 RM'000	FP 2012* RM'000	Forecast 2012* RM'000
Mid Valley Megamall	**300,013**	**290,197**	79,834	78,432
The Gardens Mall	**130,713**	**117,906**	35,451	32,286
Total	**430,726**	**408,103**	115,285	110,718

NET PROPERTY INCOME

	FY 2013 RM'000	Forecast 2013 RM'000	FP 2012* RM'000	Forecast 2012* RM'000
Mid Valley Megamall	**211,918**	**211,000**	57,449	56,089
The Gardens Mall	**73,809**	**65,592**	18,725	17,995
Total	**285,727**	**276,592**	76,174	74,084

PERFORMANCE BENCHMARK

	FY 2013	Forecast 2013	FP 2012*	Forecast 2012*
Management expense ratio (%)	**0.83**	**-**	0.23	-
Distribution yield (annualised) (%)	**5.92**	**-**	4.89	-
NAV per unit (RM)	**1.0473**	**-**	1.0247	-

Notes:
* *From 20 September 2012 to 31 December 2012*
FY Financial year ended 31 December
FP Financial period ended 31 December

IGB REAL ESTATE INVESTMENT TRUST

FINANCIAL STATEMENTS
31 December 2013

Manager's Report

The Manager of IGB Real Estate Investment Trust ("IGB REIT"), IGB REIT Management Sdn Bhd ("Manager"), is pleased to submit their report and audited financial statements to unitholders of IGB REIT for the financial year ended 31 December 2013.

PRINCIPAL ACTIVITY

IGB REIT is a Malaysia-domiciled real estate investment trust ("REIT") established on 25 July 2012 pursuant to the deed of trust dated 18 July 2012 ("Deed") between the Manager and AmTrustee Berhad ("Trustee") and listed on Main Market of Bursa Malaysia Securities Berhad ("Bursa Securities") on 21 September 2012. The Deed is regulated by the Securities Commission Act 1993, the Securities Commission's Guidelines on Real Estate Investment Trusts, the Listing Requirements of Bursa Securities, the Rules of Bursa Malaysia Depository ("Depository") and taxation laws and rulings. IGB REIT will continue its operations until such time as determined by the Manager and the Trustee as provided under the provisions of Clause 26 of the Deed. The principal investment policy of IGB REIT is to invest, directly and indirectly, in a diversified portfolio of income producing real estate used primarily for retail purposes in Malaysia and overseas as well as real estate related assets. Real estate used primarily for retail purposes would include retail properties and mixed used development with a retail component.

DISTRIBUTION OF INCOME

IGB REIT had declared distributions in the financial year as follows:

- 3.43 sen per unit (@ 3.37 sen taxable and 0.06 sen non-taxable) for the period from 1 January 2013 to 30 June 2013, which was paid on 29 August 2013;
- 3.61 sen per unit (@ 3.52 sen taxable and 0.09 sen non-taxable) for the period from 1 July 2013 to 31 December 2013, which is payable on 28 February 2014.

RESERVES AND PROVISIONS

All material transfers to or from reserves and provisions during the financial year are shown in the financial statements.

DIRECTORS

The Directors who have served on the Board of the Manager, since the date of the last Report of IGB REIT are as follows:

Tan Sri Dato' Dr Lin See Yan
Dato' Seri Robert Tan Chung Meng
Tan Boon Lee
Halim bin Haji Din
Le Ching Tai @ Lee Chen Chong
Tan Lei Cheng
Daniel Yong Chen-I
Elizabeth Tan Hui Ning
Tan Yee Seng

DIRECTORS' BENEFITS

Since the end of the financial year, no arrangement subsisted to which the Manager is a party, with the object or objects of enabling the Directors of the Manager to acquire benefits by means of the acquisition of units in or debentures of IGB REIT or any other body corporate, other than as disclosed in Directors' interest.

For the financial year ended 31 December 2013, no Director has received or become entitled to receive a benefit (other than certain directors receive remuneration as a result of their employment with related corporations).

Manager's Report
(continued)

DIRECTORS' INTEREST

The following Directors of the Manager who held office at the end of the financial year had, according to the register of unitholdings in IGB REIT, interests in the units of IGB REIT as follows:-

	Number of units of RM1.00 each			
	Balance at 01.01.2013	**Addition**	**Disposal/ Transferred**	**Balance at 31.12.2013**
Dato' Seri Robert Tan Chung Meng				
Direct	7,289,081	-	-	7,289,081
Indirect	1,788,285,023	22,619,566	(924,500)	1,809,980,089
Tan Lei Cheng				
Direct	1,853,742	-	-	1,853,742
Indirect	345,722	-	-	345,722
Tan Boon Lee				
Direct	1,989,725	-	-	1,989,725
Daniel Yong Chen-I				
Direct	802,132	-	(175,000)	627,132
Tan Yee Seng				
Direct	707,200	-	-	707,200
Elizabeth Tan Hui Ning				
Direct	750,000	100,000	-	850,000

Other than as disclosed above, the other Directors who held office at the end of the financial year did not have interests in the units of IGB REIT.

OTHER INFORMATION ON THE FINANCIAL STATEMENTS

Before the financial statements of IGB REIT were made out, the Manager took reasonable steps:

(a) to ascertain that proper action had been taken in relation to the writing off of bad debts and the making of allowance for doubtful debts and satisfied themselves that all known bad debts had been written off and that adequate allowance had been made for doubtful debts; and

(b) to ensure that any current assets, other than debts, which were unlikely to realise in the ordinary course of business their values as shown in the accounting records of IGB REIT had been written down to an amount which they might be expected so to realise.

At the date of this report, the Manager is not aware of any circumstances:

(a) which would render the amounts written off for bad debts or the amount of the allowance for doubtful debts in the financial statements of IGB REIT inadequate to any substantial extent;

(b) which would render the values attributed to current assets in the financial statements of IGB REIT misleading; or

(c) which have arisen which render adherence to the existing method of valuation of assets or liabilities of IGB REIT misleading or inappropriate.

No contingent or other liability has become enforceable or is likely to become enforceable within the period of twelve months after the end of the financial year which, in the opinion of the Manager, will or may affect the ability of IGB REIT to meet its obligations when they fall due.

Manager's Report
(continued)

OTHER INFORMATION ON THE FINANCIAL STATEMENTS (continued)

At the date of this report, there does not exist:

(a) any charge on the assets of IGB REIT which has arisen since the end of the financial year which secures the liability of any other person; or

(b) any contingent liability of IGB REIT which has arisen since the end of the financial year.

At the date of this report, the Manager is not aware of any circumstances not otherwise dealt with in this report or the financial statements which would render any amount stated in the financial statements misleading.

In the opinion of the Manager:

(a) the results of IGB REIT's operations during the financial year were not substantially affected by any item, transaction or event of a material and unusual nature; and

(b) there has not arisen in the interval between the end of the financial year and the date of this report any item, transaction or event of a material and unusual nature likely to affect substantially the results of the operations of IGB REIT for the financial year in which this report is made.

IMMEDIATE AND ULTIMATE HOLDING COMPANY

The Directors of the Manager regard IGB Corporation Berhad and Goldis Berhad, both incorporated in Malaysia and listed on the Main Market of Bursa Securities, as the immediate and ultimate holding company respectively.

AUDITORS

The auditors, PricewaterhouseCoopers, have expressed their willingness to continue in office.

Signed on behalf of IGB REIT Management Sdn Bhd in accordance with a resolution dated 25 February 2014.

DATO' SERI ROBERT TAN CHUNG MENG
MANAGING DIRECTOR

HALIM BIN HAJI DIN
DIRECTOR

Statement by the Manager

In the opinion of the Directors of the Manager, the financial statements set out on pages 42 to 75 are drawn up in accordance with the provisions of the Deed, the Securities Commission's Guidelines on Real Estate Investment Trusts ("REIT Guidelines"), applicable securities laws and Malaysian Financial Reporting Standards and International Financial Reporting Standards so as to give a true and fair view of the financial position of IGB REIT as at 31 December 2013 and of its financial performance and cash flows for the year ended 31 December 2013.

For and on behalf of the Manager,
IGB REIT MANAGEMENT SDN BHD
Signed in accordance with a resolution of the Directors of the Manager dated 25 February 2014:

DATO' SERI ROBERT TAN CHUNG MENG
MANAGING DIRECTOR

HALIM BIN HAJI DIN
DIRECTOR

Kuala Lumpur

Statutory Declaration

I, Chai Lai Sim, the Chief Financial Officer of the Manager primarily responsible for the financial management of IGB REIT, do solemnly and sincerely declare that the financial statements set out in pages 42 to 75, are, to the best of my knowledge and belief, correct and I make this solemn declaration conscientiously believing the same to be true, and by virtue of the provisions of the Statutory Declarations Act, 1960.

CHAI LAI SIM

Subscribed and solemnly declared by the abovenamed at Kuala Lumpur on 25 February 2014.

Before me:

Commissioner for Oaths

Trustee's Report

to the Unitholders of IGB REIT (Established in Malaysia)

We have acted as Trustee of IGB REIT for the financial year ended 31 December 2013. In our opinion and to the best of our knowledge, the Manager has managed IGB REIT in accordance with the limitations imposed on the investment powers of the Manager and the Trustee under the Deed, the REIT Guidelines, applicable securities laws and other applicable laws during the financial year then ended.

We have ensured the procedures and processes employed by the Manager to value and price the units of IGB REIT are adequate and that such valuation/pricing is carried out in accordance with the Deed and other regulatory requirements.

We also confirm the income distributions declared during the financial year ended 31 December 2013 are in line with and are reflective of the objectives of IGB REIT. Income distributions have been declared for the financial year ended 31 December 2013 as follows:

- 3.43 sen per unit (@ 3.37 sen taxable and 0.06 sen non-taxable) for the period from 1 January 2013 to 30 June 2013, which was paid on 29 August 2013;
- 3.61 sen per unit (@ 3.52 sen taxable and 0.09 sen non-taxable) for the period from 1 July 2013 to 31 December 2013, which is payable on 28 February 2014.

For and on behalf of the Trustee,
AMTRUSTEE BERHAD

TAN KOK CHEENG
CHIEF EXECUTIVE OFFICER

Kuala Lumpur,
Date: 25 February 2014

Independent Auditors' Report

to the Unitholders of IGB REIT (Established in Malaysia)

REPORT ON THE FINANCIAL STATEMENTS

We have audited the financial statements of IGB REIT, on pages 42 to 74, which comprise the statement of financial position as at 31 December 2013, and the statements of comprehensive income, changes in net asset value and cash flows for the year ended 31 December 2013, and a summary of significant accounting policies and other explanatory information, as set out in notes 1 to 26.

Directors of the Manager's responsibility for the financial statements

The Directors of the Manager are responsible for the preparation of financial statements so as to give a true and fair view in accordance with Malaysian Financial Reporting Standards and International Financial Reporting Standards. The Directors are also responsible for such internal control as the Directors determine is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error.

Auditors' responsibility

Our responsibility is to express an opinion on these financial statements based on our audit. We conducted our audit in accordance with approved standards on auditing in Malaysia. Those standards require we comply with ethical requirements and plan and perform the audit to obtain reasonable assurance about whether the financial statements are free from material misstatement.

An audit involves performing procedures to obtain audit evidence about the amounts and disclosures in the financial statements. The procedures selected depend on our judgement, including the assessment of risks of material misstatement of the financial statements, whether due to fraud or error. In making those risk assessments, we consider internal control relevant to the Manager's preparation and fair presentation of the financial statement that gives a true and fair view in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the Manager's internal control. An audit also includes evaluating the appropriateness of accounting policies used and the reasonableness of accounting estimates made by the Manager, as well as evaluating the overall presentation of the financial statements.

We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Opinion

In our opinion, the financial statements give a true and fair view of the financial position of IGB REIT as of 31 December 2013 and of its financial performance and cash flows for the year ended 31 December 2013 in accordance with Malaysian Financial Reporting Standards and International Financial Reporting Standards.

OTHER REPORTING RESPONSIBILITIES

The supplementary information set out in Note 27 on page 75 is disclosed to meet the requirement of Bursa Malaysia Securities Berhad and is not part of the financial statements. The Directors of the Manager are responsible for the preparation of the supplementary information in accordance with Guidance on Special Matter No. 1, Determination of Realised and Unrealised Profits or Losses in the Context of Disclosure Pursuant to Bursa Malaysia Securities Berhad dated 20 December 2011 ("Bursa Directive"). In our opinion, the supplementary information is prepared, in all material respects, in accordance with the MIA Guidance and the directive of Bursa Malaysia Securities Berhad.

OTHER MATTER

This report is made solely to the unitholders of IGB REIT and for no other purpose. We do not assume responsibility to any other person for the content of this report.

PRICEWATERHOUSECOOPERS
(No. AF:1146)
Chartered Accountants

NG YEE LING
(No. 3032/01/15 (J))
Chartered Accountant

Kuala Lumpur
Date: 25 February 2014

Statement of Financial Position
as at 31 December 2013

	Note	2013 RM'000	2012 RM'000
Non-current assets			
Plant and equipment	5	**11,202**	12,266
Investment properties	6	**4,805,000**	4,700,000
Total non-current assets		**4,816,202**	4,712,266
Current assets			
Trade and other receivables	7	**26,139**	42,116
Cash and bank balances	8	**217,148**	137,752
Total current assets		**243,287**	179,868
Total assets		**5,059,489**	4,892,134
Financed by			
Unitholders' fund			
Unitholders' capital	9	**4,272,546**	4,243,085
Accumulated losses		**(688,206)**	(759,041)
Total unitholders' fund		**3,584,340**	3,484,044
Non-current liabilities			
Borrowings	10	**1,194,909**	1,193,382
Payables and accruals	11	**48,469**	45,987
Total non-current liabilities		**1,243,378**	1,239,369
Current liabilities			
Borrowings	10	**27,606**	27,606
Payables and accruals	11	**204,165**	141,115
Total current liabilities		**231,771**	168,721
Total liabilities		**1,475,149**	1,408,090
Total unitholders' fund and liabilities		**5,059,489**	4,892,134
Net asset value ("NAV")			
- before income distribution		**3,825,450**	3,546,377
- after income distribution		**3,584,340**	3,484,044
Number of units in circulation ('000 units)		**3,422,620**	3,400,000
NAV per unit (RM)			
- before income distribution		**1.1177**	1.0431
- after income distribution		**1.0473**	1.0247

The accompanying notes form an integral part of the financial statements.

Statement of Comprehensive Income
for the Financial Year Ended 31 December 2013

	Note	01.01.2013 to 31.12.2013 RM'000	25.07.2012 (date of establishment) to 31.12.2012 RM'000
Gross rental income		**329,885**	88,119
Other income	12	**100,841**	27,166
Gross revenue		**430,726**	115,285
Utilities expenses		**(47,498)**	(13,459)
Maintenance expenses		**(20,310)**	(4,987)
Quit rent and assessment		**(10,560)**	(2,960)
Reimbursement costs	13	**(52,269)**	(14,291)
Other operating expenses		**(14,362)**	(3,414)
Property operating expenses		**(144,999)**	(39,111)
Net property income		**285,727**	76,174
Changes in fair value on investment properties		**105,000**	100,000
Interest income		**5,700**	315
Net investment income		**396,427**	176,489
Manager's management fees	14	**(28,847)**	(7,851)
Trustees' fees		**(280)**	(88)
Other trust expenses		**(506)**	(41)
Borrowing costs	15	**(54,849)**	(15,217)
Profit before taxation		**311,945**	153,292
Taxation	16	**-**	-
Profit after taxation		**311,945**	153,292
Other comprehensive income, net of tax		**-**	-
Total comprehensive income attributable to unitholders		**311,945**	153,292
Profit after taxation is made up as follows:			
Realised		**206,945**	53,292
Unrealised		**105,000**	100,000
		311,945	153,292
Basic earnings per unit (sen)	17	**9.13**	4.50
Diluted earnings per unit (sen)	17	**9.13**	4.50
Total comprehensive income		**311,945**	153,292
Less: Distribution adjustments		**(70,835)**	(90,959)
Distributable income		**241,110**	62,333
Distribution per unit (sen)	18	**7.04**	1.83

The accompanying notes form an integral part of the financial statements.

Statement of Changes in Net Asset Value

for the Financial Year Ended 31 December 2013

	Note	Unitholders' capital RM'000	Retained earnings/ (Accumulated losses) RM'000	Total funds RM'000
As at 1 January 2013		**4,243,085**	**(759,041)**	**3,484,044**
Total comprehensive income for the year attributable to unitholders		**-**	**311,945**	**311,945**
Distribution to unitholders	18	**-**	**(241,110)**	**(241,110)**
Net total comprehensive income for the year attributable to unitholders		**-**	**70,835**	**70,835**
Unitholders' transactions				
Issue of new Units				
- Manager's management fees paid in Units		**29,461**	**-**	**29,461**
Increase in net assets resulting from unitholders' transactions		**29,461**	**-**	**29,461**
As at 31 December 2013	9	**4,272,546**	**(688,206)**	**3,584,340**
As at 25 July 2012		-	-	-
Total comprehensive income for the period attributable to unitholders		-	153,292	153,292
Distribution to unitholders	18	-	(62,333)	(62,333)
Net total comprehensive income for the period attributable to unitholders		-	90,959	90,959
Unitholders' transactions				
Issue of new Units		3,400,000	-	3,400,000
Valuation of Units issued at fair value		850,000	-	850,000
Total value of Units issued		4,250,000	-	4,250,000
Effect of fair value adjustment (due to units issued) for acquisition of investment properties*		-	(850,000)	(850,000)
Listing expenses		(6,915)	-	(6,915)
Increase in net assets resulting from unitholders' transactions		4,243,085	(850,000)	3,393,085
As at 31 December 2012	9	4,243,085	(759,041)	3,484,044

* *IGB REIT adopted predecessor accounting as its accounting policy to account for business combinations under common control. In accordance with this policy, the difference between the fair value of the Units issued as consideration and the aggregate carrying amounts of the assets and liabilities acquired as of the date of the business combination is included in equity as accumulated losses.*

The accompanying notes form an integral part of the financial statements.

Statement of Cash Flows
for the Financial Year Ended 31 December 2013

	Note	01.01.2013 to 31.12.2013 RM'000	25.07.2012 (date of establishment) to 31.12.2012 RM'000
Cash flows from operating activities			
Profit before taxation		**311,945**	153,292
Adjustments for:			
Changes in fair value on investment properties		**(105,000)**	(100,000)
Manager's management fee payable in units		**28,847**	7,851
Amortisation of fit-out incentives		**2,000**	614
Borrowing costs		**54,849**	15,217
Interest income		**(5,700)**	(315)
Allowance for impairment of trade receivables		**929**	170
Depreciation of plant and equipment		**1,791**	406
Plant and equipment written-off		**22**	-
Gain on disposal of plant and equipment		**(10)**	-
Operating income before changes in working capital		**289,673**	77,235
Net change in trade and other receivables		**13,409**	(42,900)
Net change in payables and accruals		**4,558**	116,918
Net cash generated from operating activities		**307,640**	151,253
Cash flows from investing activities			
Acquisition of investment properties *		**-**	(1,200,000)
Purchase of plant and equipment		**(749)**	(12,672)
Proceeds from disposal of plant and equipment		**10**	-
Interest received		**5,340**	315
Net cash generated from/(used in) investing activities		**4,601**	(1,212,357)
Cash flows from financing activities			
Proceeds from borrowings		**-**	1,212,559
Payment of financing expenses		**-**	(6,788)
Payment of listing expenses		**-**	(6,915)
Interest paid		**(53,322)**	-
Income distribution paid to unitholders		**(179,523)**	-
Cash held under trustee		**(995)**	(26,441)
Net cash (used in)/generated from financing activities		**(233,840)**	1,172,415
Net increase in cash and cash equivalents		**78,401**	111,311
Cash and cash equivalents at beginning of year/date of establishment		**111,311**	-
Cash and cash equivalents at end of year/period	8	**189,712**	111,311
Note *:			
<u>Acquisition of investment properties</u>			
Cash consideration		**-**	1,200,000
Issuance of new Units		**-**	3,400,000
	6	**-**	4,600,000

The accompanying notes form an integral part of the financial statements.

Notes to the Financial Statements

1 GENERAL

(A) Background

IGB REIT is a Malaysia-domiciled real estate investment trust established on 25 July 2012 pursuant to the Deed between the Manager and the Trustee and listed on Main Market of Bursa Securities on 21 September 2012. The Deed is regulated by the Securities Commission Act 1993, the Securities Commission's Guidelines on Real Estate Investment Trusts, the Listing Requirements of Bursa Securities, the Rules of the Depository and taxation laws and rulings. IGB REIT will continue its operations until such time as determined by the Manager and the Trustee as provided under the provisions of Clause 26 of the Deed. The addresses of the Manager's registered office and principal place of business are as follows:

Registered office	**Principal place of business**
Level 32, The Gardens South Tower	Mid Valley Megamall and The Gardens Mall
Mid Valley City	Mid Valley City
Lingkaran Syed Putra	Lingkaran Syed Putra
59200 Kuala Lumpur	59200 Kuala Lumpur

The principal investment policy of IGB REIT is to invest, directly and indirectly, in a diversified portfolio of income producing real estate used primarily for retail purposes in Malaysia and overseas as well as real estate related assets.

Real estate used primarily for retail purposes would include retail properties and mixed used development with a retail component.

The Manager's key objective is to provide unitholders with regular and stable distributions, sustainable long term Unit price and distributable income and capital growth, while maintaining appropriate capital structure.

The immediate and ultimate holding companies are IGB Corporation Berhad and Goldis Berhad respectively, both incorporated in Malaysia and listed on the Main Market of Bursa Securities.

The financial statements for the financial year ended 31 December 2013 were authorised for issue in accordance with a resolution by the Directors of the Manager on 25 February 2014.

(B) Fee Structure

IGB REIT has entered into service agreements in relation to the management of IGB REIT and its property operations. The fee structures are as follows:

(a) Property management fees

The property manager, Chartwell ITAC International Sdn Bhd, is entitled to property management fee of RM20,000 per month (excluding service tax). In addition, the property manager is also entitled to full disbursement of costs and expenses properly incurred in the operation, maintenance, management and marketing of the properties held by IGB REIT ("Permitted Expenses") as well as fees and reimbursements for Permitted Expenses payable to its service providers.

(b) Manager's management fees

Pursuant to the Deed, the Manager is entitled to receive the following fees from IGB REIT:

i) a base fee ("Base Fee") of up to 1.0% per annum of the total asset value of IGB REIT (excluding cash and bank balances which are held in non-interest bearing accounts).

ii) a performance fee ("Performance Fee") of up to 5.0% per annum of net property income in the relevant financial period/year.

iii) 1.0% of the transaction value (being total purchase consideration) of any real estate and real estate-related assets directly and indirectly acquired from time to time by the Trustee or one or more special purpose vehicle ("SPV") on behalf of IGB REIT pro-rated, if applicable, to the proportion of IGB REIT's interest.

In the case of acquisition of SPVs or holding entities which holds real estate, 1.0% of the underlying value (as determined by an independent valuer appointed by the Trustee) of any Real Estate (which are directly or indirectly held through one or more SPVs of IGB REIT) pro-rated, if applicable, to the proportion of IGB REIT's interest.

Notes to the Financial Statements
(continued)

1 GENERAL (continued)

(B) Fee Structure (continued)

(b) Manager's management fees (continued)

iii) Any payment to third party agents or brokers in connection with the acquisition of any real estate and real estate-related assets for IGB REIT shall not be paid by the Manager out of the acquisition fee received or to be received by the Manager (but shall be borne by IGB REIT).

For the avoidance of doubt, no acquisition fee is payable with respect to acquisition of the subject properties in connection with the listing of IGB REIT but acquisition fee is payable with respect to all other transactions (which includes related party and non-related party transactions), including acquisitions from the sponsor.

iv) 0.5% of the transaction value (being total sale consideration) of any real estate and real estate-related assets directly or indirectly sold or divested from time to time by the Trustee or one or more SPVs on behalf of IGB REIT pro-rated, if applicable, to the proportion of IGB REIT's interest.

In the case of divestment of SPVs or holding entities which holds real estate, 0.5% of the underlying value (as determined by an independent valuer appointed by the Trustee) of any real estate (which are directly or indirectly held through one or more SPVs of IGB REIT) pro-rated, if applicable, to the proportion of IGB REIT's interest.

Any payment to third party agents or brokers in connection with the sale or divestment of any real estate and real estate-related assets for IGB REIT shall not be paid by the Manager out of the divestment fee received or to be received by the Manager (but shall be borne by IGB REIT).

For the avoidance of doubt, the Divestment Fee is payable with respect to all transaction (which includes related party and non-related party transaction), including divestments to the sponsor, as well as for compulsory acquisitions.

The payment of the Manager's management fee in the form of new Units will be in accordance with the following formula:

$$\text{New Units to be issued as payment of the Manager's management fee} = \frac{\text{Manager's management fee payable in Units}}{\text{Market Price}}$$

For this purpose, "Market Price" means the volume weighted average market price of the Units for the last 5 market days preceding the following events:

(i) in respect of the Base Fee and Performance Fee, the announcement of the relevant quarterly financial reports; or

(ii) in respect of the acquisition fee and divestment fee, the completion of the relevant acquisition/divestment,

(each a "Trigger Event").

With reference to any book closing date, where the Trigger Event is before but the issuance of the new Units relating to such Trigger Event is after the said book closing date, the Market Price will be further adjusted for the entitlement relating to such book closing date.

The Manager will make an immediate announcement to Bursa Securities disclosing the number of new Units to be issued and the issue price of the new Units when new Units are issued as payment for management fee. Payment of the management fees in Units shall also be subject to IGB REIT complying with the public spread requirements stated in the Listing Requirements of Bursa Securities and there being no adverse implications under Malaysian Code on Take-Overs and Mergers 2010.

(c) Trustee's fees

In accordance to the Deed, an annual trustee fee of up to 0.03% per annum of NAV of IGB REIT is to be paid to Trustee.

Notes to the Financial Statements
(continued)

2 BASIS OF PREPARATION

(a) Statement of compliance

The financial statements of IGB REIT have been prepared in accordance with the provisions of the Deed, Malaysian Financial Reporting Standard ("MFRS") and International Financial Reporting Standards.

The financial statements have been prepared under the historical cost convention except as disclosed in the summary of significant accounting policies.

The preparation of financial statements in conformity with MFRS requires the use of certain critical accounting estimates and assumptions that affect the reported amounts of assets and liabilities and disclosure of contingent assets and liabilities at the date of the financial statements, and the reported amounts of revenues and expenses during the reported period. It also requires Directors of the Manager to exercise their judgment in the process of applying IGB REIT's accounting policies. Although these estimates and judgment are based on the Directors of the Manager's best knowledge of current events and actions, actual results could differ. The areas involving a higher degree of judgment or complexity, or areas where assumptions and estimates are significant to the financial statements are disclosed in Note 4.

(b) Standards, amendments to published standards and interpretations that are applicable and are effective

The new accounting standards, amendments and improvements to published standards and interpretations that are appliable and are effective for IGB REIT's financial year beginning on 1 January 2013 are as follows:

- MFRS 13, 'Fair Value Measurement'
- Amendments to MFRS 101 'Presentation of items of other comprehensive income'
- Amendment to MFRS 7, 'Financial Instruments: Disclosures'
- Annual improvements 2009 – 2011 cycle

The adoption of the above accounting standards, amendments and improvements to published standards and interpretations did not result in a significant change to the accounting policies and did not have a material impact on the financial statements.

(c) Standards, amendments to published standards and interpretations to existing standards that are applicable to IGB REIT but not yet effective

IGB REIT will apply the new standards, amendments to standards and interpretations to existing standards in the following period:

(i) Financial year beginning on/after 1 January 2014

- Amendment to MFRS 132 "Financial Instruments: Presentation" (effective from 1 January 2014) does not change the current offsetting model in MFRS 132. It clarifies the meaning of "currently has a legally enforceable right of set-off" that the right of set-off must be available today (not contingent on a future event) and legally enforceable for all counterparties in the normal course of business. It clarifies that some gross settlement mechanisms with features that are effectively equivalent to net settlement will satisfy the MFRS 132 offsetting criteria.

(ii) Effective date yet to be determined by the Malaysian Accounting Standards Board

- MFRS 9, 'Financial Instruments - Classification and Measurement of Financial Assets and Financial Liabilities' replaces the parts of MFRS 139 that relate to the classification and measurement of financial instruments. MFRS 9 requires financial assets to be classified into two measurement categories: fair value and amortised cost. The determination is made at initial recognition. The classification depends on the entity's business model for managing its financial instruments and the contractual cash flow characteristics of the financial instrument.

  For financial liabilities, the standard retains most of the MFRS 139 requirements. The main change is that, in cases where the fair value option is taken for financial liabilities, the part of a fair value change due to an entity's own credit risk is recorded in other comprehensive income rather than the profit after taxation, unless this creates an accounting mismatch.

The adoption of the above new standards, amendments to standards and interpretation to existing standards are not expected to have a material impact on the financial results of IGB REIT.

Notes to the Financial Statements
(continued)

3 SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES

The accounting policies set out below have been applied consistently to the period presented in these financial statements by IGB REIT.

(a) Business combination under common control

IGB REIT applies predecessor accounting to account for business combinations under common control i.e. combination involving entities or businesses under common control. Under the predecessor accounting, assets and liabilities acquired are not restated to their respective fair values but at the carrying amounts from the consolidated financial statements of the holding company. The difference between any consideration given and the aggregate carrying amounts of the assets and liabilities (at the date of the transaction) of the acquired business is recorded as an adjustment to retained earnings. No additional goodwill is recognised. Acquisition-related costs are expensed as incurred. The acquired business' results and the related balance sheet items are recognised prospectively from the date on which the business combination between entities under common control occurred.

(b) Investment properties

Investment properties are held for long term rental yields or for capital appreciation or both, and are not substantially occupied by IGB REIT. Investment properties are measured initially at cost, including related transaction costs and borrowing costs if the investment property meets the definition of qualifying asset. After initial recognition, investment properties are carried at fair value.

Fair value is based on valuation using an income approach, where cash flows projections are capitalised using a capitalisation rate, which takes into account the unexpired period, yield and sinking fund, where applicable. Change in fair values is recognised in profit or loss for the period in which it arises.

The fair value of the investment property reflects the market conditions at the reporting date. It reflects, among others, rental income from current leases and reasonable and supportable assumptions that represent what knowledgeable, willing parties would assume about rental income from future leases in the light of current conditions. It also reflects, on a similar basis, any cash outflows that could be expected in respect of the property. Some of those outflows are reflected in liability whereas others relate to outflows that are not recognised in the financial statements until a later date.

Valuations are performed as of the financial position date by professional valuers who hold recognised and relevant professional qualifications and have recent experience in the location and category of the investment property being valued.

Subsequent expenditure is capitalised to the asset's carrying amount only when it is probable that future economic benefits associated with the expenditure will flow to IGB REIT and the cost of the item can be measured reliably. All other repairs and maintenance costs are expensed when incurred. When part of an investment property is replaced, the carrying amount of the replaced part is derecognised.

Investment properties are derecognised when they have been disposed. Where IGB REIT disposes of a property at fair value in an arm's length transaction, the carrying value immediately prior to the sale is adjusted to the transaction price, and the adjustment is recorded within net gain from fair value adjustment on investment property.

(c) Plant and equipment

Plant and equipment are stated at cost less accumulated depreciation and accumulated impairment losses. Cost includes expenditure that is directly attributable to the acquisition of the items and where applicable borrowing costs (Note 3(j)).

Cost of plant and equipment includes purchase price and any direct attributable costs. Cost includes the cost of replacing part of an existing plant and equipment at the time that cost is incurred if the recognition criteria is met and excludes the costs of day-to-day servicing of the plant and equipment.

Subsequent costs are included in the asset's carrying amount or recognised as a separate asset, as appropriate, only when it is probable that future economic benefits associated with the item will flow to IGB REIT and the cost of the item can be measured reliably. The carrying amount of the replaced part is derecognised. All other repairs and maintenance are charged to the statement of comprehensive income during the period in which they are incurred.

Notes to the Financial Statements

(continued)

3 SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES (continued)

(c) Plant and equipment (continued)

Plant and equipment are depreciated on a straight line basis to write-off the cost of the assets to their residual values over their estimated useful lives, summarised as follows:

Motor vehicles	20%
Furniture and fittings	12.5%
Equipment	12.5%
Information technology equipment	33 1/3%
Plant and machinery	10%

Residual values and useful lives of assets are reviewed, and adjusted if appropriate, at each reporting date. The assessment of residual values and estimated useful lives of assets is carried out on an annual basis.

At each reporting date, IGB REIT assesses whether there is any indication of impairment. If such indications exist, an analysis is performed to assess whether the carrying amount of the asset is fully recoverable. A write-down is made if the carrying amount exceeds the recoverable amount. Please refer to accounting policy on impairment of non-financial assets (Note 3(f)).

Gains and losses on disposals are determined by comparing net disposal proceeds with carrying amount and are included in net property income in the statement of comprehensive income.

(d) Financial assets

A financial asset is any asset that is cash, a contractual right to receive cash or another financial asset from another enterprise, a contractual right to exchange financial instruments with another enterprise under conditions that are potentially favourable, or an equity instrument of another enterprise.

Financial assets are recognised in the statement of financial position when, and only when, IGB REIT becomes a party to the contractual provisions of the financial instrument.

Financial assets are initially recognised at fair value plus transaction costs for all financial assets not carried at fair value through profit or loss. Financial assets carried at fair value through profit or loss is initially recognised at fair value, and transaction costs are expensed in statement of comprehensive income.

IGB REIT classifies its financial assets as loans and receivables. The classification depends on the purpose for which the financial assets were acquired. IGB REIT determines the classification of its financial assets at initial recognition.

<u>Loans and receivables</u>

Loans and receivables are non-derivative financial assets with fixed or determinable payments that are not quoted in an active market. They are included in current assets, except for amounts not expected to be realised within twelve (12) months after the end of the reporting period which shall be classified as non-current assets. IGB REIT's loans and receivables comprise 'trade and other receivables' and 'cash and bank balances' in the statement of financial position (Notes 7 and 8).

Subsequent to initial recognition, loans and receivables are measured at amortised cost using the effective interest method.

Loans and receivables are derecognised if IGB REIT's contractual rights to the cash flows from the financial assets expire or if IGB REIT transfers the financial asset to another party without retaining control or transfer substantially all the risks and rewards of the asset.

Gains and losses upon derecognition, impairment losses, and the amortisation of loans and receivables are recognised in statement of comprehensive income.

Notes to the Financial Statements
(continued)

3 SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES (continued)

(e) Impairment of financial assets

IGB REIT assesses at the end of each reporting period whether there is objective evidence that a financial asset or group of financial assets is impaired.

<u>Assets carried at amortised cost</u>

A financial asset or a group of financial assets is impaired and impairment losses are incurred only if there is objective evidence of impairment as a result of one or more events that occurred after the initial recognition of the asset ("loss event") and that loss event has an impact on the estimated future cash flows of the financial asset or group of financial assets that can be reliably estimated.

The criteria that IGB REIT uses to determine that there is objective evidence of an impairment loss include, amongst others, the following:

- Significant financial difficulty of the obligor;
- A breach of contract, such as a default or delinquency in payments;
- IGB REIT, for economic or legal reasons relating to the obligor's financial difficulty, granting to the obligor a concession that IGB REIT would not otherwise consider;
- It becomes probable that the obligor will enter bankruptcy or other financial destress;
- Disappearance of an active market for that financial asset because of financial difficulties; or
- Observable data indicating that there is a measurable decrease in the estimated future cash flows from a portfolio of financial assets since the initial recognition of those assets, although the decrease cannot yet be identified with the individual financial assets in the portfolio, including:
  (i) adverse changes in the payment status of obligors in the portfolio; and
  (ii) national or local economic conditions that correlate with defaults on the assets in the portfolio.

If any such evidence exists, the amount of impairment loss is measured as the difference between the asset's carrying amount and the present value of estimated future cash flows discounted at the financial asset's original effective interest rate. The impairment loss is recognised in statement of comprehensive income during the period in which it is incurred.

The carrying amount of the financial assets is reduced by the impairment loss directly for all financial assets with the exception of trade receivables, where the carrying amount is reduced through the use of an allowance account. When a trade receivable becomes uncollectible, it is written off against the allowance account.

In a subsequent period, if the amount of the impairment loss decreases and the decrease can be related objectively to an event occurring after the impairment was recognised, the previously recognised impairment loss is reversed to the extent that the carrying amount of the asset does not exceed its amortised cost at the reversal date. The amount of reversal is recognised in statement of comprehensive income during the period in which such reversal is evidenced.

(f) Impairment of non-financial assets

Plant and equipment are reviewed for impairment whenever events or changes in circumstances indicate that the carrying amount may not be recoverable. An impairment loss is recognised for the amount by which the carrying amount of the asset exceeds its recoverable amount. The recoverable amount is the higher of an asset's fair value less costs to sell and value in use. For the purposes of assessing impairment, assets are grouped at the lowest levels for which there are separately identifiable cash flows (cash-generating units).

The impairment loss is charged to the statement of comprehensive income during the period in which they are incurred and any subsequent increase in recoverable amount is recognised in the statement of comprehensive income during the period in which they are incurred.

(g) Cash and cash equivalents

For the purpose of the statements of cash flows, cash and cash equivalents consist of cash in hand, deposits held at call with licensed financial institutions, other short term and highly liquid investments with original maturities of three months or less. Bank overdrafts, if any, are included in within borrowings in current liabilities in the statement of financial position.

Notes to the Financial Statements
(continued)

3 SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES (continued)

(h) Payables and accruals

Trade and other payables are obligations to pay for goods or services that have been acquired in the ordinary course of business from suppliers or vendors. Trade payables are classified as current liabilities if payment is due within one (1) year or less (or in the normal operating cycle of the business if longer). If not, they are presented as non-current liabilities.

Trade payables, deposits received from tenants and other payables are recognised initially at fair value and subsequently measured at amortised cost using the effective interest method.

(i) Unitholders' capital

Unitholders' contributions are classified as equity when there is no obligation to transfer cash or other assets, nor they are redeemable at the unitholders' option. Any consideration received or distributions paid is added or deducted directly from equity. Incremental external costs directly attributable to the issue of new Units are shown in equity as a deduction, net of tax, from the proceeds.

(j) Borrowings and borrowing costs

Borrowings are recognised initially at fair value, net of transaction costs incurred. In subsequent periods, borrowings are stated at amortised cost using the effective yield method; any difference between proceeds (net of transaction costs) and the redemption value is recognised in the statement of comprehensive income over the period of borrowings. Borrowings are classified as current liabilities unless IGB REIT has an unconditional right to defer settlement of the liability for at least twelve (12) months after the reporting date.

Borrowings costs directly attributable to the acquisition, construction or production of any qualifying asset are capitalised during the period of time that is required to complete and prepare the asset for its intended use or sale, are added to the cost of those assets, until such time as the assets are substantially ready for their intended use or sale.

All other borrowing costs are recognised in statement of comprehensive income in the period in which they are incurred.

Fees paid on the establishment of loan facilities are recognised as transaction costs of the loan to the extent that it is probable that some or all of the facility will be drawn-down. In this case, the fee is deferred until the draw-down occurs. To the extent there is no evidence that it is probable that some or all of the facility will be drawn-down, the fee is capitalised as a prepayment for liquidity and amortised over the period of the facility to which it relates.

(k) Revenue recognition

Revenue comprises the fair value of the consideration received or receivable for the sale of services in the ordinary course of IGB REIT's activities. Revenue is shown net of rebates and discounts.

Revenue includes base rent, turnover or percentage rent, service and promotional charges from tenants.

Base rent from operating leases is recognised on a straight-line basis over the lease term. Turnover or percentage rent is recognised based on sales reported by tenants. When IGB REIT provides incentives to its tenants, the cost of incentives is recognised over the lease term, on a straight-line basis, as a reduction of rental income. Other rent related and car park income are recognised in the accounting period in which the services being rendered.

Interest income is recognised using the effective interest method.

(l) Manager's management fees

Manager's management fees are recognised in statement of comprehensive income in the period in which they are incurred. The payment of the manager's management fees in the form of new Units is determined by reference to the fair value of the Units.

Notes to the Financial Statements
(continued)

3 SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES (continued)

(m) Income tax

Tax is recognised in statement of comprehensive income, except to the extent that it relates to items recognised in other comprehensive income or directly in equity. In this case, the tax is also recognised in other comprehensive income or directly in equity, respectively.

The current income tax charge is calculated on the basis of the tax laws enacted or substantively enacted at the end of the reporting period.

Management periodically evaluates positions taken in tax returns with respect to situations in which applicable tax regulation is subject to interpretation. Provisions are established where appropriate on the basis of amounts expected to be paid to the tax authorities. This liability is measured using the single best estimate of the most likely outcome.

The carrying value of IGB REIT's investment properties is assumed to be realised through continuous use.

(n) Operating lease

Leases of assets where a significant portion of the risks and rewards of ownership are retained by the lessor are classified as operating leases. Payments made under operating leases (net of any incentives received from the lessor) are charged to the statement of comprehensive income on the straight line basis during the lease period in which they are incurred.

Properties leased out under operating leases are included as investment properties.

(o) Functional and presentation currency

Items included in the financial statements of IGB REIT are measured using the currency of the primary economic environment in which IGB REIT operates ("functional and presentation currency"). The financial statements are presented in Ringgit Malaysia, which is IGB REIT's functional and presentation currency.

(p) Earnings per unit

IGB REIT's earnings per Unit ("EPU") are presented on basic and diluted format.

Basic EPU is calculated by dividing the profit or loss attributable to unitholders of IGB REIT by the weighted average number of units outstanding during the period.

Diluted EPU is determined by adjusting the profit or loss attributable to unitholders against the weighted average number of units outstanding adjusted for the effects of all dilutive potential Units.

(q) Segment reporting

Operating segments are reported in a manner consistent with the internal reporting provided to the chief operating decision maker.

The chief operating decision maker, who is responsible for allocating resources and assessing performance of the operating segments, has been identified as the Chief Executive Officer, together with the Joint Chief Operation Officers, that makes strategic decisions.

(r) Net asset value

Net asset value is the value of IGB REIT's assets less the value of IGB REIT's liabilities.

(s) Distribution of income

Distribution of income should only be made from realised gains or realised income in accordance with Section 15.10 of the Guidelines on Real Estate Investment Trusts issued by Securities Commission Malaysia.

Distribution of income should be made after the Manager has taken into consideration the total returns for the period, income for the period, cash flow for distribution, stability and sustainability of income and the investment objective and distribution policy of IGB REIT.

Distribution adjustments are disclosed in Note 18 to the financial statements.

Notes to the Financial Statements
(continued)

3 SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES (continued)

(t) Realised and unrealised profit or loss

A charge or a credit to the profit or loss is deemed as realised when it is resulted from the consumption of resource of all types and form, regardless of whether it is consumed in the ordinary course of business or otherwise. A resource may be consumed through sale or use.

Where a credit or a charge to the profit or loss upon initial recognition or subsequent measurement of an asset or a liability is not attributed to consumption of resource, such credit or charge should be deemed as unrealised until the consumption of resource could be demonstrated. Unrealised profit or loss comprises "changes in fair value on investment properties".

4 CRITICAL ACCOUNTING ESTIMATES AND JUDGEMENTS

Estimates and judgements are continually evaluated by the Directors of the Manager and are based on historical experience and other factors, including expectations of future events that are believed to be reasonable under the circumstances.

IGB REIT makes estimates and assumptions concerning the future. The resulting accounting estimates will, by definition, rarely equal the related actual results. To enhance the information content of the estimates, certain key variables that are anticipated to have material impact to the IGB REIT's results and financial position are tested for sensitivity to changes in the underlying parameters. The estimates and assumptions that may have a significant risk of causing a material adjustment to the carrying amounts of assets and liabilities within the next financial year are outlined below.

<u>Principal assumptions for estimation of fair value of investment properties</u>

The principal assumptions underlying estimation of fair value of investment properties are those related to term rental, reversionary rental, other income, outgoings, capitalisation rate and allowance for void.

Investment properties are stated at fair value based on valuations performed by independent professional valuer who hold a recognised relevant professional qualification and have recent experience in the locations and categories of the investment properties valued, Henry Butcher Malaysia Sdn Bhd.

The valuations are regularly compared to actual market yield data and actual transactions and those reported by the market, when available. Assumptions used are mainly based on market conditions existing at each reporting date.

Sensitivity analysis on management's estimates is disclosed in Note 6 to the financial statements.

Notes to the Financial Statements
(continued)

5 PLANT AND EQUIPMENT

	Motor vehicles RM'000	Furniture and fittings RM'000	Equipment RM'000	Information technology equipment RM'000	Plant and machinery RM'000	Total RM'000
Cost						
As at 1 January 2013	**354**	**2,615**	**9,594**	**101**	**8**	**12,672**
Additions	**-**	**106**	**164**	**459**	**20**	**749**
Disposals	***-**	**-**	**-**	**-**	**-**	***-**
Write-offs	**-**	**(13)**	**(11)**	**-**	**-**	**(24)**
As at 31 December 2013	**354**	**2,708**	**9,747**	**560**	**28**	**13,397**
Accumulated depreciation						
As at 1 January 2013	**18**	**81**	**299**	**8**	**-**	**406**
Depreciation charge for the financial year	**71**	**334**	**1,211**	**172**	**3**	**1,791**
Disposals	***-**	**-**	**-**	**-**	**-**	***-**
Write-offs	**-**	**(1)**	**(1)**	**-**	**-**	**(2)**
As at 31 December 2013	**89**	**414**	**1,509**	**180**	**3**	**2,195**
Carrying amounts						
As at 31 December 2013	**265**	**2,294**	**8,238**	**380**	**25**	**11,202**
Cost						
As at date of establishment, 25 July 2012	-	-	-	-	-	-
Additions	354	2,615	9,594	101	8	12,672
As at 31 December 2012	354	2,615	9,594	101	8	12,672
Accumulated depreciation						
As at date of establishment, 25 July 2012	-	-	-	-	-	-
Depreciation charge for the financial period	18	81	299	8	-	406
As at 31 December 2012	18	81	299	8	-	406
Carrying amounts						
As at 31 December 2012	336	2,534	9,295	93	8	12,266

* *Amount below RM1,000.*

Notes to the Financial Statements
(continued)

6 INVESTMENT PROPERTIES

	2013 RM'000	2012 RM'000
As at 1 January 2013/25 July 2012	**4,700,000**	-
Acquisition of investment properties	**-**	4,600,000
Net fair value gain recognised in statement of comprehensive income	**105,000**	100,000
As at 31 December	**4,805,000**	4,700,000

On 20 September 2012, IGB REIT acquired the investment properties of which the consideration was settled in cash for RM1,200 million and issuance of 3,400 million units in IGB REIT. The purchase considerations are as follows:

(i) Mid Valley Megamall - purchase consideration of approximately RM4,123 million, comprising of 2,730 million units in IGB REIT and balance of RM710 million in cash.
(ii) The Gardens Mall - purchase consideration of approximately RM1,328 million, comprising of 670 million units in IGB REIT and balance of RM490 million in cash.

The title deeds to the investment properties' land are currently being held in trust by related companies.

One of the investment properties is charged as a security for bank borrowings as disclosed in Note 10.

Investment properties are stated at fair value based on valuations performed by independent professional valuer, Henry Butcher Malaysia Sdn Bhd ("HB"), who holds a recognised relevant professional qualification and has recent experience in the locations and categories of the investment properties valued. Valuations are performed by HB once every quarter and a full valuation will be conducted at every year end. The valuation results will be reviewed by the management and deliberated during the meetings of the Audit Committee and Board of Directors of the Manager every quarter.

Based on the valuation reports dated 6 January 2014 issued by HB, the fair value of the Mid Valley Megamall and The Gardens Mall as at 31 December 2013 was RM3.560 billion (2012: RM3.500 billion) and RM1.245 billion (2012: RM1.200 billion) respectively. The investment properties are leasehold properties with lease expiry year in 2103.

Fair value is determined primarily based on income approach using significant unobservable inputs. Under the income approach, the fair value of the investment properties is derived from an estimate of the market rental which the investment properties can reasonably be let for. Rental evidence may be obtained from actual passing rents commanded by the investment properties if they are tenanted. Outgoings, such as quit rent and assessment, utilities costs, reimbursable manpower costs, repair and maintenance, insurance and management expenses, are then deducted from the annual rental income. The net annual rental income is then capitalised at an appropriate current market yield to arrive at its fair value. Level 3 inputs (unobservable inputs) have been applied in arriving at the valuation. Changes in fair value are recognised in the statement of comprehensive income during the period in which they are reviewed.

The unobservable inputs include:

Term rental - the expected rental that the investment properties are expected to achieve and is derived from the current passing rental, including revision upon renewal of tenancies during the year;
Reversionary rental - the expected rental that the investment properties are expected to achieve upon expiry of term rental;
Other income - including percentage rent, car park income, advertising income and others;
Outgoings - including quit rent and assessment, utilities costs, reimbursable manpower costs, repair and maintenance, insurance and management expenses;
Capitalisation rate - based on actual location, size and condition of the investment properties and taking into account market data at the valuation date;
Allowance for void - refers to allowance provided for vacancy periods.

Notes to the Financial Statements
(continued)

6 INVESTMENT PROPERTIES (continued)

Information about fair value measurements using significant unobservable inputs (Level 3) as at 31.12.2013 is as follows:

			Parameters						Sensitivity analysis on management's estimates*	
	Valuation technique	Fair value	Capitalisation rate	Reversion rate	Allowance for void	Car park income	Other income	Outgoing	Impact lower	Impact higher
		RM'000	%	%	%	%	%	RM psf	RM'000	RM'000
Mid Valley Megamall	**Income approach**	**3,560,000**	**5.00-6.00**	**5.25-6.25**	**3.00**	**6.25**	**6.25-8.25**	**3.30**	**501**	**359**
The Gardens Mall	**Income approach**	**1,245,000**	**5.00-6.00**	**5.25-6.25**	**3.00**	**6.25**	**6.25-8.25**	**3.50**	**166**	**123**
		4,805,000							**667**	**482**

Information about fair value measurements using significant unobservable inputs (Level 3) as at 31.12.2012 is as follows:

			Parameters						Sensitivity analysis on management's estimates*	
	Valuation technique	Fair value	Capitalisation rate	Reversion rate	Allowance for void	Car park income	Other income	Outgoing	Impact lower	Impact higher
		RM'000	%	%	%	%	%	RM psf	RM'000	RM'000
Mid Valley Megamall	Income approach	3,500,000	5.00-6.00	5.25-6.25	3.00	6.00	6.00-8.00	3.10	520	340
The Gardens Mall	Income approach	1,200,000	5.00-6.00	5.25-6.25	3.00	6.00	6.00-8.00	3.30	161	118
		4,700,000							681	458

* *Changes to capitalisation and reversion rates used in the income approach method on existing unexpired contractual terms by 100 basis points.*

Notes to the Financial Statements
(continued)

6 INVESTMENT PROPERTIES (continued)

Details of the investment properties are as follows:

	Date of acquisition	Date of valuation	Location	Tenure	Occupancy rates as at 31.12.2013	Fair value as at 31.12.2013	Initial acquisition cost on 20.09.2012	Percentage of fair value to NAV*2 as at 31.12.2013
					%	RM'000	RM'000	%
Mid Valley Megamall	**20.09.2012**	**31.12.2013**	**Kuala Lumpur**	**Leasehold*1**	**99**	**3,560,000**	**3,440,000**	**99.3**
The Gardens Mall	**20.09.2012**	**31.12.2013**	**Kuala Lumpur**	**Leasehold*1**	**99**	**1,245,000**	**1,160,000**	**34.7**
						4,805,000	**4,600,000**	

	Date of acquisition	Date of valuation	Location	Tenure	Occupancy rates as at 31.12.2012	Fair value as at 31.12.2012	Initial acquisition cost on 20.09.2012	Percentage of fair value to NAV*2 as at 31.12.2012
					%	RM'000	RM'000	%
Mid Valley Megamall	20.09.2012	31.12.2012	Kuala Lumpur	Leasehold*1	99	3,500,000	3,440,000	100.5
The Gardens Mall	20.09.2012	31.12.2012	Kuala Lumpur	Leasehold*1	99	1,200,000	1,160,000	34.4
						4,700,000	4,600,000	

Notes:-

**1 The lease has a period of 99 years expiring on 6 June 2103.*

**2 Based on NAV after income distribution.*

Notes to the Financial Statements
(continued)

7 TRADE AND OTHER RECEIVABLES

	2013 RM'000	2012 RM'000
Trade receivables	**4,168**	2,494
Less: Allowance for impairment of trade receivables	**(1,099)**	(170)
Trade receivables – net	**3,069**	2,324
Accrued billings	**7,885**	6,555
	10,954	8,879
Other receivables	**517**	15
Deposits	**6,244**	5
Amount owing by immediate holding company	**24**	36
Amounts owing by related companies	**1,468**	24,276
	8,253	24,332
Prepayments	**6,932**	8,905
	15,185	33,237
Total trade and other receivables	**26,139**	42,116

The carrying amounts of trade and other receivables as at 31 December 2013 and 31 December 2012 approximated their fair values.

The credit terms of trade receivables were seven (7) days (2012: seven (7) days).

The amount owing by immediate holding company is unsecured, interest free (2012: interest free) and repayable on demand.

The amounts owing by related companies are unsecured, interest free (2012: interest free) and repayable on demand.

As at 31 December 2013, trade receivables of RM3,069,000 (2012: RM2,324,000) were past due but not impaired. Such trade receivables are due from tenants in Mid Valley Megamall and The Gardens Mall who have paid security deposits for the tenancy and with no known recent history of default. In addition, the historical experience in collection of trade receivables falls within the recorded allowance.

The ageing analysis of these trade receivables is as follows:

	2013 RM'000	2012 RM'000
1 to 7 days	**805**	-
8 to 30 days	**1,386**	1,520
31 to 60 days	**878**	804
	3,069	2,324
Individually impaired	**1,099**	170
Less: Allowance for impairment of trade receivables	**(1,099)**	(170)
	3,069	2,324

Notes to the Financial Statements
(continued)

7 TRADE AND OTHER RECEIVABLES (continued)

Movement of allowance for impairment of trade receivables is as follows:

	2013 RM'000	2012 RM'000
As at 1 January 2013/25 July 2012	**170**	-
Impairment charge for the financial year	**929**	170
As at 31 December	**1,099**	170

The other classes within trade and other receivables do not contain impaired assets.

The maximum exposure to credit risk at the reporting date is the carrying value of each class of receivables mentioned above.

8 CASH AND CASH EQUIVALENTS

	2013 RM'000	2012 RM'000
Cash in hand	**255**	290
Bank balances	**18,724**	31,950
Deposits placed with licensed banks	**198,169**	105,512
Cash and bank balances	**217,148**	137,752
Less: Restricted cash	**(27,436)**	(26,441)
Cash and cash equivalents	**189,712**	111,311

Bank balances are deposits held at call with banks and earns no interest.

The weighted average effective interest rate of deposits with licensed banks that was effective at the reporting date was 3.08% per annum (2012: 3.05% per annum).

Deposits with licensed banks have an average maturity of 37 days (2012: 26 days).

Included in the deposits placed with licensed banks is an amount of RM27.4 million (2012: RM26.4 million) which is maintained in a Debt Service Reserve Account with the facility agent to cover a minimum of six months interest for a syndicated financing facility granted to IGB REIT (Note 10).

Notes to the Financial Statements
(continued)

9 UNITHOLDERS' CAPITAL

		2013 Number of units '000		2012 Number of units '000
Approved fund size:				
As at 1 January/31 December		**3,550,000**		3,550,000

	Number of units '000	Value RM'000	Number of units '000	Value RM'000
Issued and fully paid up:				
At 1 January 2013/25 July 2012	**3,400,000**	**4,243,085**	-	-
Creation of units				
Issue of new Units, at fair value	**22,620**	**29,461**	3,400,000	4,250,000
Total value of Units issued	**3,422,620**	**4,272,546**	3,400,000	4,250,000
Listing expenses	**-**	**-**	-	(6,915)
As at 31 December	**3,422,620**	**4,272,546**	3,400,000	4,243,085

10 BORROWINGS

	2013 RM'000	2012 RM'000
Current (secured) :		
Syndicated financing facilities	**27,606**	27,606
Non-current (secured) :		
Syndicated financing facilities	**1,200,000**	1,200,000
Less: Unamortised transaction costs	**(5,091)**	(6,618)
	1,194,909	1,193,382

The Trustee, on behalf of IGB REIT, as borrower, has obtained the syndicated financing facilities comprising the following:

(a) A fixed rate term loan facility ("FRTL") of up to RM1,200 million; and

(b) A standby revolving credit facility ("SBRC") of up to RM20 million.

Notes to the Financial Statements
(continued)

10 BORROWINGS (continued)

The maturity profile of the syndicated financing facilities is as follows:

	<1 year RM'000	1 to 2 years RM'000	2 to 3 years RM'000	>3 years RM'000	Total Carrying Amount RM'000
As at 31 December 2013					
FRTL	**14,900**	**-**	**-**	**1,194,909**	**1,209,809**
SBRC	**12,706**	**-**	**-**	**-**	**12,706**
	27,606	**-**	**-**	**1,194,909**	**1,222,515**
As at 31 December 2012					
FRTL	14,900	-	-	1,193,382	1,208,282
SBRC	12,706	-	-	-	12,706
	27,606	-	-	1,193,382	1,220,988

The weighted average effective interest rates as at the reporting date were as follows:

	2013 % per annum	2012 % per annum
Weighted average effective interest rates at reporting date		
FRTL	**4.40%**	4.40%
SBRC	**4.15%**	4.15%

Proceeds drawn from the FRTL were utilised by IGB REIT to part finance the acquisitions of Mid Valley Megamall and The Gardens Mall together with related assets ("Acquisitions") and the proceeds drawn from the SBRC were utilised by IGB REIT to part finance the Acquisitions and to finance its capital expenditure requirements.

The FRTL has a tenure of five (5) years from the date of first drawdown with an option to extend the same for a further two (2) years exercisable by the Trustee. For the first five (5) years, the FRTL bears a fixed interest rate of 4.4% per annum. In the event the FRTL is extended, the interest rates for the sixth and the seventh year shall be stepped up to 5.0% per annum.

The SBRC has a tenure of seven (7) years from the date of fulfillment of all conditions precedent. The SBRC bears a floating interest rate of the aggregate effective costs of funds and a margin of 0.7% per annum.

The Syndicated Financing Facilities are secured against, among others, the following:

(i) a first party assignment by the Trustee of its rights, title, interests and benefits in Mid Valley Megamall and under the sale and purchase agreement in relation to Mid Valley Megamall pursuant to the Acquisition and all other documents evidencing the Trustee's interest in Mid Valley Megamall. In the event the subdivision of master title is completed and a separate strata title is issued for Mid Valley Megamall ("Megamall Strata Title"), a first party first legal charge shall be created by the Trustee on the Megamall Strata Title for the benefit of the syndicated lenders;

(ii) an undertaking from the Trustee and the Manager;

 (a) to deposit all cash flows generated from Mid Valley Megamall into the revenue account; and

 (b) that it shall not declare or make any dividends or distributions out of the cashflow derived from Mid Valley Megamall to the Unitholders if an event of default has occurred under the terms of the Syndicated Financing Facilities, and is continuing and has not been waived;

Notes to the Financial Statements
(continued)

10 BORROWINGS (continued)

The Syndicated Financing Facilities are secured against, among others, the following: (continued)

(iii) a first party legal assignment and charge by the Trustee over all rights, interests, title and benefits relating to the following designated accounts:

(a) the revenue account into which the Trustee shall credit, among others, all income and insurance proceeds derived from or in relation to Mid Valley Megamall;

(b) the operating account which is to capture funds transferred from the revenue account for the purpose of managing the operating expenditure of Mid Valley Megamall; and

(c) the debt service reserve account which is to capture funds transferred from the revenue account for purposes of meeting the debt service requirement;

(iv) a first party legal assignment by the Trustee of all the proceeds under the tenancy/lease agreements in relation to Mid Valley Megamall; and

(v) a first party legal assignment over all of the Trustee's rights, interests, titles and benefits and all the insurance policies in relation to Mid Valley Megamall and the security agent (acting for and on behalf of the syndicated lenders) being named as the loss payee and beneficiary of the insurance policies.

11 PAYABLES AND ACCRUALS

	Note	2013 RM'000	2012 RM'000
Non-current			
Tenants' deposits	a	**48,469**	45,987
		48,469	45,987
Current			
Trade payables	b	**7,228**	10,071
Tenants' deposits	a	**29,009**	27,415
		36,237	37,486
Other payables and accrued expenses		**26,215**	15,433
Prepaid rental		**4,702**	4,330
Amount due to immediate holding company	c	**-**	69
Amounts due to related companies	d	**13,091**	21,464
Distribution payable to unitholders		**123,920**	62,333
		167,928	103,629
Total current payables and accruals		**204,165**	141,115
Total payables and accruals		**252,634**	187,102

(a) Tenants' deposits are in respect of refundable deposits received from tenants for tenancy related agreements. Tenancy tenures are generally for a period of one (1) to three (3) years.

(b) Credit terms for trade payables range from 30 days to 90 days (2012: 30 days to 90 days).

(c) Amount due to immediate holding company is interest-free (2012: interest free) and repayable on demand.

(d) Amounts due to related companies are interest-free (2012: interest free) and repayable on demand.

Notes to the Financial Statements
(continued)

12 OTHER INCOME

	01.01.2013 to 31.12.2013 RM'000	25.07.2012 (date of establishment) to 31.12.2012 RM'000
Car park income	**43,605**	12,257
Advertising and promotional income	**5,855**	1,669
Utilities recoverable	**22,862**	6,759
Kiosk rent and other leasing income	**18,100**	4,846
Others	**10,419**	1,635
	100,841	27,166

13 REIMBURSEMENT COSTS

Included in reimbursement costs are the following expenses:

	01.01.2013 to 31.12.2013 RM'000	25.07.2012 (date of establishment) to 31.12.2012 RM'000
Manpower costs	**29,730**	8,611
Marketing expenses	**8,645**	2,748
Administration expenses	**7,588**	1,371
Management expenses	**4,234**	1,141
Insurance	**2,072**	420
	52,269	14,291

14 MANAGER'S MANAGEMENT FEES

	01.01.2013 to 31.12.2013 RM'000	25.07.2012 (date of establishment) to 31.12.2012 RM'000
Base fee	**14,675**	4,046
Performance fee	**14,172**	3,805
	28,847	7,851

For the financial year ended 31 December 2013, 100% of the total Manager's management fees would be payable in units (2012: 100%).

Notes to the Financial Statements
(continued)

15 BORROWING COSTS

	01.01.2013 to 31.12.2013 RM'000	25.07.2012 (date of establishment) to 31.12.2012 RM'000
Interest expense	**53,322**	15,047
Amortisation of transaction costs	**1,527**	170
	54,849	15,217

16 TAXATION

	01.01.2013 to 31.12.2013 RM'000	25.07.2012 (date of establishment) to 31.12.2012 RM'000
Reconciliation of tax expense		
Profit before taxation	**311,945**	153,292
Income tax using Malaysian tax rate of 25%	**77,986**	38,323
Non-deductible expenses	**3,204**	1,209
Effect of income exempted from tax	**(81,190)**	(39,532)
	-	-

Pursuant to Section 61A of the Malaysian Income Tax Act, 1967 ("Act"), income of IGB REIT will be exempted from tax provided that at least 90% of its total taxable income (as defined in the Act) is distributed to the investors in the basis period of IGB REIT for that year of assessment within two (2) months after the close of the financial year. If the 90% distribution condition is not complied with or the 90% distribution is not made within two (2) months after the close of IGB REIT financial year which forms the basis period for a year of assessment, IGB REIT will be subject to income tax at the prevailing rate on its total income. Income which has been taxed at the IGB REIT level will have tax credits attached when subsequently distributed to unitholders.

As IGB REIT declared 100% (2012: 100%) of its distributable income to unitholders for the financial year ended 31 December 2013, no provision for income taxation has been made for the current year and prior period.

Notes to the Financial Statements
(continued)

17 EARNINGS PER UNIT ("EPU") – BASIC AND DILUTED

The calculation of EPU is based on total comprehensive income attributable to unitholders for the year of RM311,945,000 (2012: RM153,292,000) divided by the weighted average number of units in circulation during the same year of 3,417,638,000 (2012: 3,405,782,000).

	01.01.2013 to 31.12.2013 RM'000	25.07.2012 (date of establishment) to 31.12.2012 RM'000
Total comprehensive income		
- Realised	**206,945**	53,292
- Unrealised	**105,000**	100,000
- Total	**311,945**	153,292
Weighted average number of units ('000)		
Weighted average number of units in issue	**3,411,505**	3,400,000
Adjustment for Manager's management fees payable in units *	**6,133**	5,782
Weighted average number of units for diluted EPU	**3,417,638**	3,405,782
Basic/Diluted EPU (sen)		
- Realised	**6.06**	1.56
- Unrealised	**3.07**	2.94
- Total	**9.13**	4.50

Note *:

	Note	2013 Number of units '000	2013 Value RM'000	2012 Number of units '000	2012 Value RM'000
Manager's management fees payable in units					
- from 1 October 2013 to 31 December 2013 at RM1.18 per unit		**6,133**	**7,237**	-	-
- from date of establishment, 25 July 2012 to 30 September 2012 at RM1.34 per unit		**-**	**-**	648	869
- from 1 October 2012 to 31 December 2012 at RM1.36 per unit		**-**	**-**	5,134	6,982
	14	**6,133**	**7,237**	5,782	7,851

Notes to the Financial Statements
(continued)

18 DISTRIBUTION TO UNITHOLDERS

Distribution to unitholders is from the following sources:

	Note	01.01.2013 to 31.12.2013 RM'000	25.07.2012 (date of establishment) to 31.12.2012 RM'000
Total comprehensive income		**311,945**	153,292
Less: Distribution adjustments	A	**(70,835)**	(90,959)
Distributable income		**241,110**	62,333
Distribution per unit (sen)			
- for the period from 25 July 2012 to 31 December 2012		**-**	1.83
- for the period from 1 January 2013 to 30 June 2013		**3.43**	-
- for the period from 1 July 2013 to 31 December 2013		**3.61**	-
		7.04	1.83
Income distribution			
Distributable income		**241,110**	62,333
Proposed for income distribution of 3.61 sen per unit (@ 3.52 sen taxable and 0.09 sen non-taxable) for the period from 1 July 2013 to 31 December 2013		**(123,920)**	-
Income distribution of 3.43 sen per unit (@ 3.37 sen taxable and 0.06 sen non-taxable) for the period from 1 January 2013 to 30 June 2013		**(117,190)**	-
Income distribution of 1.83 sen per unit for period from 25 July 2012 (date of establishment) to 31 December 2012		**-**	(62,333)
Balance undistributed		**-**	-
Note A			
Distribution adjustments comprise:			
Changes in fair value on investment properties		**(105,000)**	(100,000)
Manager's management fee payable in Units		**28,847**	7,851
Amortisation of fit-out incentives		**2,000**	614
Amortisation of capitalised borrowing costs		**1,527**	170
Depreciation of plant and equipment		**1,791**	406
		(70,835)	(90,959)

* *Withholding tax will be deducted for distributions made to the following categories of unitholders:*

	Withholding Tax rate 2013	Withholding Tax rate 2012
Resident corporate	**N/A^**	N/A^
Resident non-corporate	**10%**	10%
Non-resident individual	**10%**	10%
Non-resident corporate	**25%**	25%
Non-resident institutional	**10%**	10%

^ *to tax at prevailing rate*

Notes to the Financial Statements
(continued)

19 PORTFOLIO TURNOVER RATIO

	2013	2012
Portfolio Turnover Ratio ("PTR") (times)	**-**	-

The calculation of PTR is based on the average value of total acquisitions and disposals of investments in IGB REIT for the financial year to the average net asset value during the year.

PTR is nil for IGB REIT as there were no new acquisitions and disposals of investments in IGB REIT for the financial year ended 31 December 2013.

Since the basis of calculating PTR can vary among REITs, there is no consistent or coherent basis for providing an accurate comparison of IGB REIT's PTR against other REITs.

20 MANAGEMENT EXPENSE RATIO

	2013	2012
Management expense ratio ("MER") (%)	**0.83**	0.23

The calculation of the MER is based on the total fund operating fees of IGB REIT incurred, including the Manager's management fees, trustees' fees and other trust expenses, to the net asset value (after income distribution) during the financial year.

Since the basis of calculating MER can vary among REITs, there is no consistent or coherent basis for providing an accurate comparison of IGB REIT's MER against other REITs.

21 SEGMENT REPORTING

The segmental financial information by business or geographical segments is not presented as IGB REIT only comprises of one business activity, which is the owner and operator of Mid Valley Megamall and The Gardens Mall and its entire business is conducted in Kuala Lumpur.

The Manager assesses the performance of the operating segments based on, including but not limited to, net property income ("NPI"). The NPI enables performance benchmarking as such basis eliminates the effect of financing and accounting decisions which may not be made at operating level.

22 FINANCIAL INSTRUMENTS BY CATEGORY

	Note	2013 RM'000	2012 RM '000
Loans and receivables at amortised cost			
Assets as per statement of financial position:			
- Trade and other receivables excluding prepayments	7	**19,207**	33,211
- Cash and bank balances excluding cash in hand	8	**216,893**	137,462
Total financial assets		**236,100**	170,673
Other financial liabilities at amortised cost			
Liabilities as per statement of financial position:			
- Borrowings	10	**1,222,515**	1,220,988
- Payables and accruals	11	**252,634**	187,102
Total financial liabilities		**1,475,149**	1,408,090

Notes to the Financial Statements
(continued)

23 FINANCIAL RISK MANAGEMENT OBJECTIVES AND POLICIES

23.1 Financial risk factors

IGB REIT's activities expose it to a variety of financial risks: market risk (including cash flow interest rate risk), credit risk, liquidity and cash flow risk. IGB REIT's overall financial risk management objective is to ensure that it creates value for its unitholders. IGB REIT focuses on the unpredictability of financial markets and seeks to minimise potential adverse effects on the financial performance of IGB REIT. Financial risk management is carried out through risk reviews, internal control systems, insurance programmes and adherence to the IGB REIT's financial risk management policies. The Manager regularly reviews these risks and approves the treasury policies, which covers the management of these risks.

(a) Market risk

Cash flow interest rate risk

IGB REIT interest rate risk arises from fixed rate term loan and revolving credit.

IGB REIT's income and operating cash flows are substantially independent of changes in market interest rates. This is due to a significant portion of the borrowing is made up of fixed rate term loan taken by IGB REIT which locks in the interest rate against any fluctuation. Hence, IGB REIT has no significant exposure to cash flow interest rate risk.

Sensitivity analysis for interest rate changes is unrepresentative as IGB REIT does not use variable rates in managing its interest rate risk.

(b) Credit risk

Credit risk arises from credit exposures to outstanding receivables from the tenants, as well as cash and cash equivalents and deposits with banks and financial institutions.

Credit risks arising from outstanding receivables from the tenants are minimised and monitored by strictly limiting IGB REIT's association to business partners with high creditworthiness. Trade receivables are monitored on an on-going basis via the Manager's reporting procedures. Other than the anchor tenants, namely Aeon BIG *(formerly known as Carrefour)*, Aeon, Metrojaya, Isetan, Robinsons and GSC Signature, which contribute 12.4% (2012: 12.8%) of the rental income, IGB REIT does not have any significant exposure to any individual customer or counterparty nor does IGB REIT have any major concentration of credit risk related to any financial instruments. Credit risk with respect to trade receivables is limited due to IGB REIT's nature of business which is predominately rental related and cash-based. IGB REIT's historical experience in collection of trade receivables falls within the recorded allowances. Furthermore, the tenants have placed security deposits with IGB REIT which act as collateral. Due to these factors, no additional credit risk beyond amounts allowed for collection losses is inherent in IGB REIT's trade receivables.

The deposits are placed with credit worthy licensed financial institutions with high credit ratings assigned by credit rating agencies. Based on the above, IGB REIT considers the risk of material loss in the event of non-performance by a financial counterparty to be unlikely.

(c) Liquidity and cash flow risk

IGB REIT monitors rolling forecasts of its liquidity requirements to ensure it has sufficient cash to meet operational needs while maintaining sufficient headroom on its committed borrowing facilities (Note 10).

IGB REIT monitors and maintains a level of cash and cash equivalents and bank facilities deemed adequate to finance its operations, to distribute income to unitholders, and to mitigate the effects of fluctuations in cash flows. In addition, the Manager also monitors and observes the Securities Commission's Guidelines on Real Estate Investment Trust concerning limits on total borrowings financing.

At the reporting date, IGB REIT held cash and bank balances of RM217.15 million (2012: RM137.75 million) that are expected to readily generate cash inflows for managing liquidity risk.

Notes to the Financial Statements
(continued)

23 FINANCIAL RISK MANAGEMENT OBJECTIVES AND POLICIES (continued)

23.1 Financial risk factors (continued)

(c) Liquidity and cash flow risk (continued)

The table below analyses the IGB REIT's non-derivative financial liabilities into relevant maturity groupings based on the remaining period at the reporting date to the contractual maturity date. The amounts disclosed in the table are the contractual undiscounted cash flows.

	<1 year	1 to 2 years	2 to 3 years	>3 years	Total
	RM'000	RM'000	RM'000	RM'000	RM'000
At 31 December 2013					
Borrowings	**80,927**	**53,321**	**53,321**	**1,234,900**	**1,422,469**
Payables and accruals	**204,165**	**24,927**	**18,798**	**4,744**	**252,634**
At 31 December 2012					
Borrowings	80,927	53,321	53,321	1,286,694	1,474,263
Payables and accruals	141,115	23,938	22,049	-	187,102

23.2 Capital risk management

Capital is the unitholders' capital, retained earnings and borrowings.

The overall capital management objectives are to safeguard IGB REIT's ability to continue as a going concern in order to provide returns for unitholders and benefits for other stakeholders and to maintain a more efficient capital.

The Manager's on-going capital management strategy involves adopting and maintaining an appropriate gearing level and adopting an active interest rate management strategy to manage the risks associated with refinancing and changes in interest rates. The Manager intends to implement this strategy by (i) diversifying sources of debt funding to the extent appropriate, (ii) maintaining a reasonable level of debt service capability, (iii) securing favourable terms of funding, (iv) managing its financial obligations and (v) where appropriate, managing the exposures arising from adverse market interest rates, such as through fixed rate borrowings, to optimise the cost of capital.

The total borrowings to total assets ratio as at 31 December was as follows:

	2013	2012
	RM'000	RM'000
Total borrowings	**1,222,515**	1,220,988
Total assets	**5,059,489**	4,892,134
Borrowings to total assets ratio (%)	**24.16**	24.96

The total borrowings should not exceed 50% of the total assets at the time the borrowings are incurred in accordance with Section 8.37 of the Guidelines on Real Estate Investment Trusts issued by Securities Commission Malaysia. IGB REIT had complied with the limit requirement during the financial year.

The Deed provides that the Manager shall, with the approval of the Trustee, for each distribution period, distribute all (or such other percentage as determined by the Manager at its absolute discretion) of IGB REIT's distributable income. It is the intention of the Manager to distribute at least 90.0% of IGB REIT's distributable income on a half-yearly basis (or such other interval as determined by the Manager at its absolute discretion).

For the financial year ended 31 December 2013, IGB REIT will distribute 100% of its distributable income. Based on the prospectus in respect of the initial public offer of IGB REIT dated 26 August 2012, the Manager will distribute 100% of IGB REIT's distributable income for the period from date of establishment to 31 December 2014.

The actual proportion of distributable income distributed to unitholders beyond 31 December 2014, which shall be at the absolute discretion of the Manager, may be greater than 90.0% of IGB REIT's distributable income to the extent that the Manager believes it is appropriate, having regard to IGB REIT's funding requirements, other capital management considerations and the availability of funds. Distribution, when made, will be in Ringgit Malaysia.

Notes to the Financial Statements
(continued)

23 FINANCIAL RISK MANAGEMENT OBJECTIVES AND POLICIES (continued)

23.3 Fair value

The following table presents assets and liabilities measured at fair value and classified by level of the following fair value measurement hierarchy:

(a) quoted prices (unadjusted) in active markets for identical assets or liabilities (Level 1);
(b) inputs other than quoted prices included within Level 1 that are observable for the asset or liability, either directly or indirectly (Level 2); and
(c) inputs for the asset or liability that are not based on observable market data (unobservable inputs) (Level 3).

	Level 3	
	2013	**2012**
	RM'000	**RM'000**
Recurring fair value measurements:		
Investment properties	**4,805,000**	4,700,000

Level 3 fair values of the investment properties have been derived from the income approach method based on valuations performed by independent professional valuer, Henry Butcher Malaysia Sdn Bhd, who holds a recognised relevant professional qualification and has recent experience in the locations and categories of the investment properties valued. The valuation techniques, significant variables and movement in fair values are as disclosed in Note 6 to the financial statements.

Assets and liabilities not carried at fair value

The carrying amounts of financial assets and liabilities of IGB REIT as at reporting date approximated their fair values except for the following:

The following table analyses within the fair value hierarchy where IGB REIT's liabilities not measured at fair value as at reporting date but for which fair value is disclosed.

	Level 3			
	2013		**2012**	
	Carrying amount	**Fair value**	**Carrying amount**	**Fair value**
	RM'000	**RM'000**	**RM'000**	**RM'000**
Borrowings	**1,222,515**	**1,174,819**	1,220,988	1,220,988

The fair values are based on the following bases and assumptions:

(a) Trade receivables, other receivables and payables and accruals

Trade receivables, other receivables and payables and accruals are assumed to approximate their fair values as these items are not materially sensitive to the shift in market interest rates.

(b) Cash and bank balances

Cash and bank balances with maturities less than one (1) year, the carrying amount is a reasonable estimate of fair value.

(c) Borrowings

The fair value of the borrowings is estimated based on discounted cash flows using prevailing market rates for borrowings with similar risk profile.

Notes to the Financial Statements
(continued)

24 OPERATING LEASES

Leases as lessor

IGB REIT leases out its investment properties (Note 6) under operating leases. The future minimum lease receivables under non-cancellable lease are as follows:

	2013 RM'000	2012 RM'000
Less than one year	**305,917**	286,307
Between one and five years	**611,834**	572,615
	917,751	858,922

25 CAPITAL COMMITMENTS

Capital expenditure in respect of the following has not been provided for in the financial statements:

	2013 RM'000	2012 RM'000
Plant and equipment		
Authorised by Directors but not contracted	**4,919**	2,709

26 SIGNIFICANT RELATED PARTY TRANSACTIONS

The significant related party transactions set out below are carried out in the normal course of business on terms and conditions negotiated between the parties.

Related party	Relationship
IGB Corporation Berhad	Immediate holding company and sponsor of IGB REIT
Ensignia Construction Sdn Bhd	A fellow subsidiary
IGB Properties Sdn Bhd	A fellow subsidiary
IGB REIT Management Sdn Bhd	A fellow subsidiary
KrisAssets Holdings Berhad	A fellow subsidiary
Mid Valley City Sdn Bhd	A fellow subsidiary
Mid Valley City Energy Sdn Bhd	A fellow subsidiary
Mid Valley City Enterprise Sdn Bhd	A fellow subsidiary
Mid Valley City Gardens Sdn Bhd	A fellow subsidiary
Mid Valley City Hotels Sdn Bhd	A fellow subsidiary
Mid Valley City North Tower Sdn Bhd	A fellow subsidiary
Mid Valley City South Tower Sdn Bhd	A fellow subsidiary
MVC Centrepoint North Sdn Bhd	A fellow subsidiary
MVC Centrepoint South Sdn Bhd	A fellow subsidiary
MVEC Exhibition and Event Services Sdn Bhd	A fellow subsidiary
Tanah Permata Sdn Bhd	A fellow subsidiary
Technoltic Engineering Sdn Bhd	A fellow associate
Strass Media Sdn Bhd	A subsidiary of Wah Seong (Malaya) Trading Co. Sdn Bhd, which is a substantial shareholder of IGB Corporation Berhad

Notes to the Financial Statements
(continued)

26 SIGNIFICANT RELATED PARTY TRANSACTIONS (continued)

	2013 RM'000	2012 RM'000
Significant related party transactions:		
Sales of services		
1) Rental of car park		
- IGB Corporation Berhad	**146**	36
- MVC Centrepoint North Sdn Bhd	**975**	244
- Mid Valley City Hotels Sdn Bhd	**87**	20
- Tanah Permata Sdn Bhd	**183**	40
	1,391	340
2) Utilities charges		
- IGB Properties Sdn Bhd	**785**	135
- Mid Valley City Enterprise Sdn Bhd	**1,458**	347
- MVC Centrepoint South Sdn Bhd	**998**	168
- MVC Centrepoint North Sdn Bhd	**927**	148
- Mid Valley City Hotels Sdn Bhd	**3,004**	669
- Tanah Permata Sdn Bhd	**1,459**	315
- Mid Valley City South Tower Sdn Bhd	**1,971**	452
- Mid Valley City North Tower Sdn Bhd	**2,049**	472
- Mid Valley City Energy Sdn Bhd	**137**	-
	12,788	2,706
3) Rental of premises		
- MVEC Exhibition and Event Services Sdn Bhd	**3,988**	697
4) Rental of light box		
- Strass Media Sdn Bhd	**2,104**	488

Notes to the Financial Statements
(continued)

26 SIGNIFICANT RELATED PARTY TRANSACTIONS (continued)

	2013 RM'000	2012 RM'000
Significant related party transactions:		
Purchases of services		
1) Repair and maintenance		
- Technoltic Engineering Sdn Bhd	**1,329**	167
- Ensignia Construction Sdn Bhd	**2,076**	-
	3,405	167
2) Electricity charges		
- Mid Valley City Energy Sdn Bhd	**28,552**	3,624
3) Manager's management fee		
- IGB REIT Management Sdn Bhd	**28,847**	7,851
Significant related party balances as at reporting date:		
Deposits placed with		
Mid Valley City Energy Sdn Bhd	**6,239**	-
Rental collection on behalf of IGB REIT		
Mid Valley City Sdn Bhd	**-**	11,586
Mid Valley City Gardens Sdn Bhd	**-**	11,026
Amount owing to		
IGB REIT Management Sdn Bhd	**7,237**	7,851
KrisAssets Holdings Berhad	**-**	12,097
Ensignia Construction Sdn Bhd	**2,076**	-
Mid Valley City Sdn Bhd	**2,010**	-
Mid Valley City Gardens Sdn Bhd	**1,475**	-

Notes to the Financial Statements
(continued)

27 DETERMINATION OF REALISED AND UNREALISED PROFITS OR LOSSES IN THE CONTEXT OF DISCLOSURE PURSUANT TO LISTING REQUIREMENT OF BURSA MALAYSIA SECURITIES BERHAD

The analysis of the accumulated losses of IGB REIT as at 31 December 2013, into realised and unrealised portions, pursuant to Paragraphs 2.06 and 2.23 of Main Market Listing Requirements of Bursa Securities, are as follows:

	2013 **RM'000**	**2012** **RM'000**
Total accumulated losses		
- realised	**(893,206)**	(859,041)
- unrealised	**205,000**	100,000
	(688,206)	(759,041)

The disclosure of realised and unrealised accumulated losses is based on the Guidance of Special Matter No. 1, *Determination of Realised and Unrealised Profits or Losses in the Context of Disclosures Pursuant to Listing Requirements of Bursa Securities*, issued by the Malaysian Institute of Accountants.

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IGB REAL ESTATE INVESTMENT TRUST

(Constituted in Malaysia pursuant to a Deed of Trust dated 18 July 2012)

PROXY FORM

CDS Account No.

**CDS Account No. of Authorised Nominee

Number of Units Held

*I/We (name as per Identification/Certificate of Incorporation) ____________________

Identification/Company No. ____________________

of (address) ____________________

being a unitholder of IGB REIT, hereby appoint:

FIRST PROXY

Full Name		Proportion of Unitholdings Represented	
		No. of Units	%
Identification No.			
Address			

*and/or

SECOND PROXY

Full Name		Proportion of Unitholdings Represented	
		No. of Units	%
Identification No.			
Address			

or, both of whom failing, *the Chairman of the 2nd AGM, as *my/our proxy to attend and to vote for *me/us on *my/our behalf at the 2nd AGM of IGB REIT to be held at Bintang Ballroom, Level 5, Cititel Mid Valley, Lingkaran Syed Putra, 59200 Kuala Lumpur, Malaysia on Wednesday, 30 April 2014, at 2.30 p.m. and at any adjournment thereof.

Dated this ________________day of____________________ 2014

____
Signature of Unitholder/Common Seal

* *Delete as appropriate*

** *Applicable to units through a nominee account*

Notes:

(a) A unitholder is entitled to appoint one or two proxies and they need not be unitholders.

(b) A unitholder, who is an authorised nominee, may appoint up to two proxies in respect of each Securities Account held; whereas, an exempt authorised nominee may appoint multiple proxies in respect of each Securities Account held.

(c) A member who appoints a proxy must execute the Proxy Form, and if two proxies are appointed, the number of units to be represented by each proxy must be clearly indicated.

(d) A corporate member who appoints a proxy must execute the Proxy Form under seal or the hand of its officer or attorney duly authorised.

(e) Only unitholders registered in the Record of Depositors as at 23 April 2014 shall be eligible to attend, speak and vote at the 2nd AGM or appoint a proxy to attend and vote on his behalf.

(f) The executed Proxy Form must be deposited at the Registered Office, not later than 2.30 p.m. on 28 April 2014, being 48 hours before the time set for the 2nd AGM.

(g) The IGB REIT Annual Report and Proxy Form can be accessed at www.igbreit.com

Fold this flap for sealing

Fold along this line (2)

PROXY FORM

AFFIX
RM0.60
STAMP

The Company Secretary
IGB REIT Management Sdn Bhd (908168-A)
(Manager of IGB Real Estate Investment Trust)
Level 32, The Gardens South Tower
Mid Valley City
Lingkaran Syed Putra
59200 Kuala Lumpur
Malaysia

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